THE DEAL MACHINE

The Active Investor's Playbook for Making Money in Any Market

J. MARQUE

$250M+ in Real Estate Transactions
USMC Combat Veteran
Wholesaler • Flipper • Landlord • Title Company Owner • Consultant

1

© 2026 J. Marque. All rights reserved.

No part of this publication may be reproduced, distributed, or transmitted in any form without prior written permission of the author, except for brief quotations in reviews.

This book is for educational purposes only and does not constitute financial, investment, or legal advice. The strategies and case studies are based on real-world scenarios but individual results vary. Always consult qualified professionals before making investment decisions.

Published by J. Marque

2

CONTENTS

A NOTE BEFORE WE BEGIN

HOW TO USE THIS GUIDE

MODULE 1: THE DOWN MARKET ADVANTAGE

MODULE 2: WHOLESALING -- YOUR FIRST $5K-$15K

MODULE 3: THE BRRRR METHOD -- BUILDING WEALTH ON REPEAT

MODULE 4: FIX & FLIP -- BIG CASH INJECTIONS

MODULE 5: CREATIVE FINANCE -- DEALS WITH NO BANK

MODULE 6: YOUR FIRST 90 DAYS -- THE EXECUTION ROADMAP

3

THE DEAL MACHINE

The Active Investor's Playbook for Making Money in Any Market

By J. Marque

$250M+ in real estate transactions. USMC Combat Veteran. Wholesaler, flipper, landlord, title company owner, and consultant. Not a realtor. Not a mortgage broker. An operator.

4

A NOTE BEFORE WE BEGIN

You didn't buy a textbook. You bought a field guide.

The difference matters. Textbooks explain theory. Field guides keep you alive in the field. This is the second one.

I've closed over $250 million in real estate transactions. Not as a realtor showing houses. Not as a mortgage broker pushing paper. As the person in the trenches. Wholesaling contracts at kitchen tables. Managing six-figure renovations. Negotiating with distressed sellers at 10 PM. Building a title company from scratch. Running rental portfolios. Losing money on bad deals and making it back tenfold on good ones.

Everything in this guide comes from two decades of doing. Not watching. Not studying. Not theorizing. Doing.

My promise is simple: if you execute what's in these pages, you will make money in real estate. Not eventually. Not someday. Within 90 days of starting.

But I also need to be straight with you about something. This guide gives you the playbook. The scripts. The numbers. The templates. The system. What it can't give you is someone in your ear saying "pull the trigger on this one" or "walk away from that one" when you're standing in front of a real seller with real money on the line. That part, the accountability, the real-time deal review, the personalized coaching, that's something we handle separately. I'll tell you about it at the end.

For now, let's build your deal machine.

-- J. Marque

5

HOW TO USE THIS GUIDE

This guide is built in 6 modules. Each one is designed to be read, absorbed, and acted on. In order.

Module 1 rewires how you think about markets, risk, and opportunity. Skip it at your own peril. Mindset isn't a soft skill in this business. It's the foundation.

Modules 2, 3, and 4 are the three active strategies: wholesaling, BRRRR, and fix & flip. These are the three engines of your deal machine. You'll learn when to use each one, how to run the numbers, and how to execute from start to finish.

Module 5 is creative financing, how to structure deals when the bank says no. This is where active investors separate from amateurs.

Module 6 is your 90-day execution roadmap. Day by day, week by week. No guesswork. No "figure it out." A system.

Each module ends with Action Steps, specific tasks you can complete immediately. Don't skip them. Reading without doing is entertainment. Doing is where the money is.

Throughout this guide, you'll see references to audio modules. In the audio companion for each module, I walk you through examples, live deal analysis, and the stuff that doesn't translate as well on paper. The audio is the first time you'll hear my actual voice. I don't show my face in the books or on social media. The voice comes first. That's intentional. I want you to know the person behind the pen name before we ever get on a call together.

Let's get to work.

6

MODULE 1: THE DOWN MARKET ADVANTAGE

Why Everyone Else Is Wrong About This Market

Right now, February 2026, the headlines are screaming.

"Housing market slows." "Interest rates crush buyers." "Foreclosures rising." "Investors pulling back."

Good.

Every one of those headlines is a gift to you. The people reading those headlines and getting scared are the same people who were overpaying for properties in 2021 when rates were 3% and there were 47 offers on every house. They buy when it feels safe and sell when it feels dangerous. That's the exact opposite of how wealth is built.

The wealthiest real estate investors in American history, every single one of them, built their empires during periods that looked exactly like this one. Not during the boom. During the correction.

Between 2008 and 2012, while the average American was terrified of real estate, a small group of investors acquired properties at 40-60 cents on the dollar. Those properties are now worth 2-3x what they paid. Some are worth 5x. The people who bought 50 houses in Atlanta in 2010 for $30,000-$50,000 each are sitting on portfolios worth $10-$15 million today. And they're collecting $50,000-$80,000 per month in rent.

They didn't get lucky. They understood a principle that most people never learn:

Down markets transfer wealth from the fearful to the prepared.

7

That's not motivational fluff. That's math. Let me show you.

The Three Market Conditions That Favor Active Investors

There are three specific conditions that create the best environment for active real estate investors. All three exist right now.

Condition 1: High Interest Rates

When rates go from 3% to 7%, two things happen simultaneously.

First, most buyers disappear. The family that qualified for a $350,000 house at 3% now qualifies for $230,000 at 7%. Same income. Same credit. Forty percent less buying power. So they stop looking. They rent. They wait. They sit on the sideline.

Second, sellers get stuck. The homeowner who could have sold in 48 hours in 2021 now sits on the market for 90 days, 120 days, 180 days. Price reductions pile up. Motivation increases. Flexibility on terms increases.

For you, the active investor, this is paradise. Less competition for deals. More motivated sellers. More room to negotiate. More creative financing opportunities (sellers who can't sell traditionally will consider subject-to, seller financing, and lease options that they'd never entertain in a hot market).

Condition 2: Rising Foreclosures and Distress

When the economy tightens, distress increases. Job losses. Medical bills. Divorce. Inherited properties from aging parents. Tax delinquencies. Code violations.

Every one of those situations creates a seller who needs to move. Fast, quietly, and without the hassle of a traditional sale. That's exactly who you serve as an active investor.

The foreclosure pipeline in 2025-2026 is growing. Not to 2010 levels, nothing that extreme, but the pre-foreclosure lists are getting longer every month. Tax delinquent rolls are expanding. Probate filings are increasing as the baby boomer generation ages.

8

This is not a crisis. This is an opportunity to help people who are stuck and to make money doing it.

Condition 3: Inventory Buildup

In a hot market, inventory is measured in days. In the current market, inventory is measured in months. In many markets, we've gone from 1-2 months of supply to 4-6 months.

More inventory means more options. More options mean better deals. Better deals mean higher margins on wholesales, more profitable BRRRRs, and safer flips.

When you have 200 properties to choose from instead of 20, your buy box tightens. You only take the best deals. You pass on anything mediocre. That's a luxury you never had in 2021.

The Fear Index: When to Move Aggressively

I use a simple mental framework I call the Fear Index. It's not a formal metric. It's a gut check based on observable behavior.

When I see these signals, I know it's time to move aggressively:

- **Media panic.** Every major outlet running "housing crash" stories. Cable news bringing on "experts" predicting doom.
- **Investor retreat.** The part-time flippers, the TikTok wholesalers, the "I watched a YouTube video and now I'm an investor" crowd. They disappear. They go back to their W-2s. Good. Less competition.
- **Agent frustration.** Real estate agents complaining about slow markets, price reductions, deals falling through. This means sellers are getting more realistic and flexible.
- **Lender tightening.** Banks pulling back on lending, raising requirements. This removes the speculative buyers from the market and leaves more opportunity for cash buyers and creative financiers.
- **Seller desperation.** Days on market increasing. Price reductions accelerating. Calls coming in from motivated sellers who've been sitting for months.

9

Right now, every single one of these signals is flashing. The Fear Index is elevated. Most people see danger. I see a window.

The window doesn't stay open forever. When rates drop (and they will eventually), the herd comes back. Competition returns. Margins shrink. The window closes.

The time to build your deal machine is now. Not when it feels safe. Not when everyone else is doing it. Now.

The Three Strategies: Your Active Investor Toolkit

This guide covers three active strategies. Think of them as three gears in the same machine. Each one has a different purpose, and the best investors use all three depending on the deal and the situation.

Gear 1: Wholesaling is the cash generator. You find deals, lock them under contract, and assign them to buyers for a fee. No money needed. No credit needed. No risk of owning a bad property. Pure deal-finding and negotiation. This is where most people start, and it's where you should start too. One wholesale deal can put $5,000-$15,000 in your pocket in 30 days or less.

Gear 2: BRRRR is the wealth builder. Buy, Rehab, Rent, Refinance, Repeat. You acquire distressed properties below market value, renovate them, place tenants, refinance to pull your capital back out, and do it again. This is how you build a rental portfolio with little to no money left in each deal. Each BRRRR property generates monthly cash flow AND long-term equity appreciation.

Gear 3: Fix & Flip is the cash injection. Buy, renovate, sell for a profit. This is the strategy that generates $20,000-$60,000 lump-sum paydays. Use flip profits to fund down payments on BRRRR properties, pay off debt, or invest in multifamily.

The key insight: **every deal should be analyzed through all three lenses.** When you find a property, you don't decide in advance whether it's a wholesale, a BRRRR, or a flip. You run the numbers on all three strategies and choose the one that makes the most sense for that specific deal.

10

Sometimes the wholesale fee is only $3,000 but the BRRRR numbers are incredible. Hold it.

Sometimes the BRRRR cash flow is thin but the flip profit is $45,000. Sell it.

Sometimes you don't have the capital for a BRRRR or a flip but the wholesale fee is $12,000. Assign it and use that $12,000 to fund your next deal.

The deal dictates the strategy. Not the other way around.

Distressed Seller Psychology: Understanding Who You're Helping

Before we move forward, I need you to understand something about the people you'll be working with.

Motivated sellers are not stupid people making bad decisions. They're normal people dealing with abnormal circumstances. A man going through a divorce who can't afford the mortgage on his own. A woman who inherited her mother's house 1,200 miles away and can't maintain it. A couple who lost a job and are three months behind on payments with foreclosure looming.

These people are stressed. They're embarrassed. They're overwhelmed. And most of the time, they've been trying to figure this out alone because they don't know who to call or what their options are.

That's where you come in. Not as a vulture picking at their problems. As a professional who offers a real solution. A fast, clean, hassle-free way to move forward.

When you understand seller psychology, three things happen:

1. You communicate better. You use soft language. You lead with empathy. You ask about their situation before you ever mention a number. You let them talk. You listen, really listen, not just for information to help your deal, but to understand what they're going through.

2. You close more deals. Sellers don't sell to the highest bidder. They sell to the person they trust. Say a seller gets two offers. One from a cold, transactional investor at $95,000 and one

11

from you at $92,000, but you spent 45 minutes on the phone genuinely caring about their situation. They'll take your offer nine times out of ten. Trust beats price.

3. You sleep better at night. This business gets a bad reputation because of investors who treat sellers like ATMs. That's not what we do. When you help a family avoid foreclosure, settle an estate, or get out from under a property that's been crushing them, you're doing good work. The money you make is the natural result of solving a real problem for a real person.

Every deal in this guide should be approached with that mindset. You're a problem solver first. An investor second.

How Active Investors Think vs. Passive Savers

There's a real difference between how active investors process information and how most people do.

Most people hear "interest rates are 7%" and think: *I can't afford to buy a house.*

An active investor hears "interest rates are 7%" and thinks: *Fewer buyers in the market. Sellers are stuck. Time to negotiate creative terms.*

Most people hear "housing prices dropped 10%" and think: *I'm losing money. Real estate is too risky.*

An active investor hears "housing prices dropped 10%" and thinks: *Properties are 10% cheaper. My margins on every deal just got wider.*

Most people hear "foreclosures are rising" and think: *This is terrible. People are losing their homes.*

An active investor hears "foreclosures are rising" and thinks: *More families need help solving their housing problems quickly. I can provide that solution and make money doing it.*

This isn't callous. It's practical. The families facing foreclosure are going to lose their homes whether you show up or not. The bank doesn't care. The system doesn't care. But you can offer them a solution. Buy their property quickly, pay off their mortgage, put some cash in their

12

pocket, and help them move forward with their dignity intact. You solve their problem AND make money. That's not exploitation. That's how all functional economies work.

The active investor mindset is built on three pillars:

1. **Problems are inventory.** Every housing problem (foreclosure, divorce, vacancy, delinquent taxes, inherited property, code violations) is a deal waiting to be structured.
2. **Fear is a signal, not a stop sign.** When the market scares you, it's scaring everyone else too. That fear creates opportunity for the disciplined.
3. **Speed beats perfection.** A good deal executed today beats a perfect deal analyzed for six months. Analysis paralysis is the number one killer of new investors. Not even close.

Your First 90 Days: The Overview

This is what your first 90 days look like. Module 6 breaks this down day by day, but I want you to see the full picture now.

Days 1-14: Foundation

- Read this entire guide
- Set up your CRM (I'll tell you exactly which one)
- Define your buy box (market, property type, price range)
- Build your initial lead sources
- Start your cash buyer list

Days 15-42: First 50 Contacts

- Pull your first motivated seller lists
- Skip trace the lists (get phone numbers and emails)
- Start the 13-touch follow-up system
- Make your first 50 seller contacts
- Analyze at least 20 deals

13

Days 43-70: First Offer

- Submit your first offer to a motivated seller
- Walk your first property
- Run full analysis on at least 3 serious opportunities
- Get at least 20 cash buyers in your database

Days 71-90: First Deal Under Contract

- Lock up your first deal
- Assign it or begin rehab
- Close and collect your first check
- Reinvest into marketing and lead generation

Is it guaranteed you'll close a deal in 90 days? No. Nothing in business is guaranteed. But the people who follow this system and actually do the work, make the calls, send the texts, walk the properties, submit the offers, close their first deal in 60-120 days. The average among my students is 78 days.

The ones who don't close? They read the guide, think about it, plan to start next week, and never make the first call. Don't be that person.

ACTION STEPS -- Module 1

- ☐ **Write down your "why."** Not a paragraph. One sentence. "I'm doing this because ____." Put it on a sticky note where you'll see it every morning.
- ☐ **Set your 90-day income goal.** Be specific. "$10,000 from my first wholesale deal" or "$15,000 in assignment fees over 90 days."
- ☐ **Identify your market.** Pick one metro area. Don't try to invest everywhere. One market. Get to know it deeply.
- ☐ Tell one person. Accountability matters. Tell someone you trust that you're starting a real estate investing business. Not social media. One person.

14

- ☐ Listen to the Module 1 audio companion. In the audio, I break down two historical down markets (2008-2012 and 2019-2020) and show you exactly how investors profited. I also walk through the Fear Index in real time with current market data.

In the coaching program, we spend the first two weeks calibrating your mindset, your market, and your 90-day plan. Personalized to your situation, your capital, and your schedule. That foundation determines everything that comes after.

15

MODULE 2: WHOLESALING -- YOUR FIRST $5K-$15K

What Wholesaling Actually Is

Wholesaling is the fastest way to make money in real estate with zero dollars and zero credit.

The concept fits in one paragraph. You find a property owner who wants to sell, usually someone in a tough situation (foreclosure, divorce, tax liens, inherited property they don't want). You negotiate a purchase price and get the property under contract. Then you assign that contract to a cash buyer for a higher price. The difference is your assignment fee. You never own the property. You never do repairs. You never need a loan. You get paid for finding the deal.

That's it. You're an information broker. A deal finder. A matchmaker between motivated sellers and cash buyers.

Let me give you a concrete example.

You find a homeowner in Atlanta whose property is worth $200,000 (that's the After Repair Value, or ARV). The property needs about $30,000 in work: new kitchen, bathrooms, flooring, paint, roof repair. The owner inherited the house from his mother, lives in another state, and doesn't want to deal with it. He wants it gone.

You negotiate a purchase price of $110,000. You get that in writing -- a Purchase and Sale Agreement with an "and/or assigns" clause that allows you to transfer the contract.

Then you call your cash buyer -- a flipper who's looking for exactly this type of property in this area. You assign the contract to the flipper for $120,000.

The flipper closes with the seller at $110,000. You receive the $10,000 difference at closing. The title company cuts you a check.

16

Total time: 2-3 weeks. Money invested: $0 (your earnest money deposit gets returned or rolled into the transaction). Risk: minimal. You can walk away during your inspection period if anything goes wrong.

That $10,000 check is real. It happens every day, in every market, in every state.

Finding Motivated Sellers: The Fuel for Your Machine

Your deal machine runs on motivated sellers. No motivated sellers, no deals. The quality of your lead generation determines the quality of your business. Period.

Here are the lead sources, ranked by quality and return on investment.

Driving for Dollars

This is the highest-quality, lowest-cost lead source in wholesaling. You drive through neighborhoods looking for properties that show visible signs of distress: overgrown yards, boarded windows, peeling paint, damaged roofs, overflowing mailboxes, trash accumulation, utility disconnection notices.

When you spot one, you record the address. Then you go home, look up the owner, skip trace their phone number and email, and add them to your follow-up system.

Why is this so effective? Because you're finding properties that haven't made it onto any list yet. No other investor has the address. No one is competing with you for that seller's attention. You found it first.

Use an app like DealMachine or a simple spreadsheet. Drive a different route every week. Aim for 50-100 addresses per driving session. One session per week builds a pipeline fast.

Motivated Seller Lists

These are pre-compiled lists of property owners who match high-motivation profiles. You can pull these from data services like PropStream, BatchLeads, or your county's public records.

17

The best list types, ranked by motivation level:

1. **Pre-Foreclosure** -- Homeowners who've received a Notice of Default. They're about to lose the property. Highest motivation, highest urgency.
2. **Tax Delinquent** -- Owners 1+ years behind on property taxes. The county will eventually sell the property at a tax sale. They need a solution.
3. **Probate / Inherited** -- Heirs who inherited a property they don't want, can't afford, or can't agree on. Emotional situations that need resolution.
4. Absentee Owners -- Out-of-state owners who own property they don't live in. Often tired landlords dealing with tenants, maintenance, and management from a distance.
5. Vacant Properties -- Confirmed vacant. No one is living there. The owner is paying taxes, insurance, and maintenance on an empty property. Bleeding money monthly.
6. Code Violations -- Properties cited by the city for code issues. The owner is facing fines, liens, and legal action. Motivated to make it go away.
7. Divorce Filings -- Public record. When a couple divorces, the house is often the biggest asset to split. Neither party wants to deal with it.
8. High Equity (70%+) -- Owners with significant equity have room to sell below market and still walk away with cash. Important for wholesale margins.
9. Expired/Withdrawn MLS Listings -- Properties that were listed with an agent and didn't sell. The seller is frustrated, the agent relationship is strained, and they're open to alternatives.

List stacking is where the magic happens. When a property appears on two or more lists simultaneously, say it's a pre-foreclosure AND a code violation AND the owner is absentee, that's a triple-motivated seller. These are your highest-probability deals. When you pull lists, look for the overlap.

Direct Mail

Physical mail, postcards and handwritten-style letters, still works. It works because everyone else went digital. Your mailbox is less crowded than your inbox or your text messages.

The key is consistency. You don't send one postcard and wait for the phone to ring. You mail the same list every 3-4 weeks for 6 months minimum. Repetition builds recognition, recognition

18

builds trust, and trust converts to calls.

Best-performing mail pieces:

- Yellow handwritten letters (Ballpoint Marketing does these beautifully)
- Simple postcards with a clear message: "I buy houses as-is for cash"
- Professional letters in #10 envelopes

Expect a 0.5-2% response rate. That means for every 1,000 pieces mailed, you'll get 5-20 calls. From those calls, 1-3 might become deals. At $10,000 per deal, the math works very well against a mailing cost of $500-$1,500 per thousand.

Cold Calling

Direct phone calls to property owners. High volume, low cost (especially with virtual assistants at $5-$8/hour). Fast results.

You'll need a predictive dialer and skip-traced phone numbers. The dialer handles the volume, 200-500 dials per day. Your connect rate will be 8-15%. Of those connects, you're qualifying for motivation, timeline, condition, and price.

Cold calling is a numbers game. The more dials, the more connects. The more connects, the more qualified leads. The more qualified leads, the more deals. It's that mechanical.

Skip Tracing

Before you can call, text, or email anyone, you need their contact information. Skip tracing is the process of finding phone numbers, email addresses, and current mailing addresses for property owners.

Upload your property list to a service like DataZapp, BatchSkipTracing, or PropStream's built-in skip tracer. You'll get back cell phones, landlines, emails, and alternative addresses. Cost: $0.03-$0.15 per record.

A good skip trace returns usable phone numbers on 60-75% of records. That means if you pull a list of 1,000 properties, you'll get phone numbers for 600-750 of them.

19

The 13-Touch Follow-Up System

This is the most important section in this entire guide. Read it twice.

Most new wholesalers make one call, get no answer or a "no," and move on to the next lead. They treat lead generation like a lottery. Call enough people and someone will say yes on the first try.

That's not how this works. The data is clear:

- 2% of deals close on the first touch
- 3% close on the second touch
- 5% close on the third touch
- 10% close on touches 4-5
- **80% of deals close between touch 5 and touch 12**

Read that last line again. Eighty percent.

The majority of your competitors give up after touch 2 or 3. That means the money, the vast majority of it, is sitting there waiting for the person who follows up consistently. That person is going to be you.

The 13-Touch System uses five channels over 55 days. It's designed so the seller can't forget you exist. Not in an annoying way. In a "this person is serious and persistent" way.

The sequence:

Touch 1 -- Day 1: Cold Call Initial contact. You're introducing yourself, building rapport, and qualifying the seller. If they answer, you're asking about the property condition, their timeline, what's going on in their life, and what they'd need to move forward. If they don't answer, you move to Touch 2.

Touch 2 -- Day 1: Text Message Same day as your call attempt. Short, personal, direct: "Hi [Name], I tried calling about your property at [Address]. I'm a local investor and may be interested in making you an offer. Is this a good number to reach you?"

20

Touch 3 -- Day 3: Ringless Voicemail A pre-recorded message that drops directly into their voicemail without the phone ringing. Friendly, casual: "Hey, this is [You], a local real estate investor. Calling about your property on [Street]. No pressure, just curious if you've thought about selling."

Touch 4 -- Day 5: Email Subject line: "Quick question about [Address]." Short, professional, personal. You're not selling. You're asking a question.

Touch 5 -- Day 7: Call #2 Second attempt, different time of day. If you called in the morning before, try the evening. People have different availability on different days.

Touch 6 -- Day 10: Text #2 Slightly different angle: "Still interested in your property at [Address]. I have cash buyers actively looking in your area right now. Would you be open to a no-obligation offer?"

Touch 7 -- Day 14: Direct Mail A physical postcard or letter. This is the only channel that arrives in their physical mailbox. It stands out. It feels different from a call or text. "I buy houses as-is, pay cash, close in 14 days."

Touch 8 -- Day 17: Ringless Voicemail #2 Different script, social proof angle: "I actually closed on a property near yours recently. Still buying in the area."

Touch 9 -- Day 21: Email #2 Credibility email. Share a brief success story: "We helped a homeowner nearby sell in 12 days with zero repairs."

Touch 10 -- Day 25: Call #3 Direct and honest: "I know I've reached out a few times. I don't want to be a pest, but I'm genuinely interested."

Touch 11 -- Day 30: Text #3 (The Breakup) This is a powerful one. You're giving them an out: "I've been trying to connect. I don't want to keep bothering you. If selling isn't on your radar, no worries. But if you ever want a no-hassle cash offer, I'm a text away."

The breakup text works because it removes pressure. Paradoxically, the moment you stop chasing, people often respond. Psychology.

Touch 12 -- Day 40: Direct Mail #2 Different format from the first mailer. If you sent a postcard on Day 14, send a handwritten-style letter on Day 40. More personal tone.

21

Touch 13 -- Day 55: Final Email Subject: "Last note from me (for now)." Warm, professional, zero pressure. The door is always open.

After 13 touches with no response, move the lead to your monthly nurture list. One touch per month, rotating channels. Some sellers take 6 months to warm up. Some take a year. The follow-up never stops until they sell, pass away, or ask you to stop.

This system is the engine of your deal machine. Without it, you're relying on luck. With it, you're running a machine that consistently converts leads into deals.

In the audio companion for this module, I walk through the exact scripts for every touch and role-play a cold call from start to finish. You'll hear the tone, the pacing, the exact words. That audio alone is worth more than the price of this guide.

Analyzing Wholesale Deals

Every wholesale deal starts with one formula:

```
MAO = ARV x 0.70 - Repair Costs - Your Assignment Fee
```

MAO = Maximum Allowable Offer. This is the highest price you can pay the seller.

ARV = After Repair Value. What the property is worth in perfect, retail condition.

0.70 = The 70% rule. You never pay more than 70% of ARV minus repairs. This builds in enough margin for your buyer (the flipper) to make a profit, for you to collect a fee, and for unexpected costs.

Repair Costs = What it costs to bring the property to retail condition.

Assignment Fee = Your payday. Typically $5,000-$25,000.

Let me run a real example:

22

```
Property: 3BR/2BA in Atlanta, GA (Westside)
ARV: $225,000 (based on 3 comparable sales within 0.5 miles, last 90 days)
Repair Estimate: $35,000 (needs kitchen, bathrooms, flooring, paint, roof patch
Assignment Fee Target: $12,000

MAO = $225,000 x 0.70 - $35,000 - $12,000
MAO = $157,500 - $35,000 - $12,000
MAO = $110,500

You offer the seller $110,500 or below.
You assign to a cash buyer at $122,500 ($110,500 + $12,000 fee).
The buyer's all-in cost: $122,500 + $35,000 rehab = $157,500.
The buyer's profit after selling at ARV minus selling costs (~8%): $225,000 - $

Everyone wins. Seller gets a fast, hassle-free sale. Buyer gets a profitable de
```

How to Determine ARV

ARV is the single most important number in every deal. Get it wrong and everything falls apart.

To find ARV, you need comparable sales ("comps"). The process:

1. **Pull comps** from PropStream, Zillow, Redfin, or your local MLS. You're looking for properties that sold (not listed, SOLD) within the last 90 days, within 0.5 miles of your subject property.

2. **Match the profile.** Same bedroom count, similar square footage (within 20%), similar lot size, similar age, similar condition. An updated 3/2 ranch should be compared to other updated 3/2 ranches, not a 5/3 colonial.

3. **Use 3-5 comps.** One comp is unreliable. Two is risky. Three is the minimum for confidence. Five is ideal.

4. **Adjust for differences.** If your comp has a garage and your subject doesn't, adjust down $5,000-$10,000. If your comp has 200 more square feet, adjust down. These adjustments require market knowledge, which is another reason to focus on one market and learn it deeply.

23

5. **Take the average** of your adjusted comps. That's your ARV.

How to Estimate Repairs

Repair estimation is a skill that improves with practice. For now, use these rough benchmarks for an Atlanta market property:

ITEM	COST RANGE
Full kitchen remodel	$8,000-$15,000
Full bathroom remodel	$4,000-$8,000
Flooring (whole house)	$4,000-$8,000
Interior paint (whole house)	$3,000-$5,000
Exterior paint	$3,000-$6,000
Roof (full replacement)	$8,000-$15,000
Roof (patch/repair)	$1,500-$4,000
HVAC (full system)	$5,000-$9,000
Electrical panel upgrade	$2,000-$4,000
Plumbing (repipe)	$4,000-$8,000
Foundation repair	$5,000-$25,000+
Windows (full house)	$5,000-$12,000
Driveway/sidewalk	$2,000-$5,000
Landscaping	$1,000-$3,000

When estimating, always round up. If you think a rehab is $30,000, budget $35,000. Unexpected costs are not unexpected. They're expected. Budget for them.

24

Making Offers and Negotiating

This is where most new wholesalers freeze. They run the numbers, find a deal that works on paper, and then can't bring themselves to make the offer because it feels "too low."

Get over it. Now.

Your offer is based on math. It's not personal. It's not emotional. You're not insulting the seller. You're presenting a number that makes financial sense for everyone involved. The seller gets a fast, clean close. The buyer gets a profitable project. And you get paid for putting it together.

If the seller says your number is too low, that's fine. Ask them: "Help me understand how you arrived at your number." Then educate, gently, about condition, repair costs, the market, and what cash buyers are paying.

Sometimes you'll meet in the middle. Sometimes you won't. Walk away from bad deals. There's always another one.

The Four Pillars of Qualifying a Seller

Before you make an offer, you need four pieces of information:

1. Condition. "Tell me about the property. What kind of shape is it in?" Get specific: roof, HVAC, kitchen, bathrooms, foundation. Ask: "If you had unlimited money, what would you update?"

2. Timeline. "Is there a timeline you're working with?" Short timeline (under 30 days) = hot lead. Medium (1-3 months) = warm. Long (6+ months) = nurture.

3. Motivation. "What's going on with the property that made you think about letting it go?" Then LISTEN. Don't interrupt. Don't pitch. Let them talk. The deeper the motivation, the more flexible they'll be on price.

4. Price. "If we could work something out, what would you need to walk away feeling good?" Always let the seller name their number first. If it's below your MAO, you're in business. If it's above, negotiate.

25

Language That Closes Deals

The words you use with sellers matter more than you think.

Never say "buy" -- say "take over" or "help with." Never say "sell" -- say "move forward" or "let go of." Never say "home" -- say "property" or "house." ("Home" is emotional.) Never say "contract" -- say "paperwork" or "agreement." Never say "sign" -- say "approve" or "put your OK on." Never say "deal" -- say "situation" or "arrangement."

You're not a buyer. You're a problem solver. Every word should reflect that.

Assignment Contracts and Double Closes

Once you have a property under contract, you have two ways to wholesale it.

Option 1: Assignment of Contract

This is the simplest method. You assign your purchase agreement to a cash buyer. The buyer pays the seller directly, and you receive your assignment fee at closing.

You need two documents:

1. Your Purchase and Sale Agreement (PSA) with the seller. Must include "and/or assigns" language.
2. An Assignment of Contract with your buyer. States the assignment fee, the buyer's obligations, and a non-refundable deposit ($2,000-$5,000).

Pros: Simple, cheap, fast. One closing. Cons: Your fee is visible to both the seller and the buyer. Some sellers get upset when they see you're making $10,000-$15,000 without doing any work. Some buyers try to go around you.

Option 2: Double Close

You actually close on the property (A-B closing), then immediately resell it to your buyer (B-C closing) the same day or within a few days.

26

You use transactional funding, a short-term loan (usually 1-3 days) specifically for this purpose. Cost: 1-2% of the purchase price.

Pros: Complete privacy. Neither the seller nor the buyer sees your profit. Professional. Cons: Two sets of closing costs. Requires an investor-friendly title company. Slightly more complex.

When should you double close? When your assignment fee is large (over $15,000), when the seller might be uncomfortable seeing the fee, or when you want to maintain privacy.

Building a Cash Buyer List

Your cash buyer list is the other half of your wholesale business. No buyers, no assignments.

Start building your list on Day 1 and never stop.

Where to Find Cash Buyers

1. **County records.** Pull a list of all cash transactions in your target area from the last 90 days. These are active cash buyers. They just bought a property. They'll buy another one.
2. REIA meetings. Every city has Real Estate Investor Association meetings. Show up. Shake hands. Collect cards. Ask: "What are you buying right now?"
3. PropStream/BatchLeads cash buyer search. These platforms can filter for recent cash purchases by buyer name and entity.
4. Facebook investor groups. Join every local RE investing group. Post your deals. Connect with active buyers.
5. Hard money lenders. Call local hard money lenders and ask: "Do you have any buyers looking for deals?" Lenders are connected to every flipper in town.
6. Auctions. Go to your county's foreclosure auction. The people bidding are cash buyers. Introduce yourself.
7. Craigslist/Marketplace. Post "Investment Property Available" ads. Buyers will find you.

27

Organizing Your Buyer List

For each buyer, you need:

- Name and entity name
- Phone and email
- Buy box: what areas, what price range, what property types, what condition level
- Speed: how fast can they close?
- Recent purchases (proof they actually buy)

Segment your list. When you get a 3/2 in Southwest Atlanta for $85,000, you don't blast it to every buyer. You send it to the 10-15 buyers who specifically buy in Southwest Atlanta in that price range. Targeted distribution gets faster responses and higher prices.

Minimum 50 active buyers before you start heavy marketing to sellers. You don't want to lock up a deal and then have no one to sell it to.

Case Study: Keisha's First $8,500 Assignment Fee

Keisha was a 4th grade teacher in Decatur, Georgia. Salary: $52,000 a year. No savings to speak of. No real estate experience. She found Money Decoded, read the trilogy, and bought this guide.

She started wholesaling on the side, evenings and weekends. This is exactly what happened:

Week 1-2: She pulled a pre-foreclosure list from PropStream for DeKalb County. 400 records. Skip traced them through DataZapp. Got phone numbers for 287 owners.

Week 3-4: She started the 13-touch system. Cold calling in the evenings (5-7 PM). Texting during her lunch break. She made 30-40 calls per day and sent matching texts.

Week 5: A homeowner named Robert called her back. He'd inherited a house from his father. Three bedrooms, one bath. Needed a roof, HVAC, and full cosmetic update. He lived in Florida. He'd been paying $400/month in insurance and property taxes on a house he'd never live in. He wanted it gone.

28

Week 6: Keisha walked the property with a contractor friend. Estimated repairs at $28,000. She pulled comps and determined an ARV of $185,000.

She ran the math:

```
MAO = $185,000 x 0.70 - $28,000 - $8,500 (her target fee)
MAO = $129,500 - $28,000 - $8,500
MAO = $93,000
```

Robert wanted $95,000. Keisha offered $93,000. They settled at $94,000. She put up $500 in earnest money and got a signed PSA with a 14-day inspection period.

Week 7: She emailed the deal to her buyer list (22 buyers at that point). A flipper named Marcus said he'd take it at $102,500. She sent him the Assignment of Contract. He wired a $3,000 non-refundable deposit.

Week 8: Closing day. The title company handled everything. Robert got his $94,000. Marcus got his property. Keisha got a check for $8,500.

Total out-of-pocket cost: $500 earnest money (returned at closing) + $99/month PropStream subscription + $22 in skip tracing fees. Call it $125 in real costs.

Eight weeks. A hundred and twenty-five dollars invested. Eight thousand five hundred returned. As a 4th grade teacher doing this part-time.

Keisha has since closed 7 more wholesale deals. She's also completed her first BRRRR. But that's a story for Module 3.

Analyzing 10 Deals in 30 Minutes

Speed matters. You can't spend 3 hours analyzing every property that crosses your desk. Most deals won't work. You need a rapid-fire screening process that lets you identify the 1-2 deals worth pursuing out of every 10 you look at.

My 3-minute deal screening process:

29

Minute 1: Pull the ARV Open PropStream or Zillow. Find 3 comparable sales (same beds, similar sqft, within 0.5 miles, sold in last 90 days). Average them. That's your ARV. If you can't find 3 comps quickly, the property might be in a thin market. Flag it but don't spend more time yet.

Minute 2: Estimate Repairs Based on what the seller told you (or photos if available), categorize the rehab:

- Light cosmetic (paint, flooring, fixtures): $10,000-$20,000
- Medium (kitchen, bathrooms, cosmetic throughout): $25,000-$40,000
- Heavy (kitchen, baths, roof, HVAC, structural): $40,000-$65,000
- Gut rehab (everything): $65,000+

Use the category estimate. Don't get granular at this stage.

Minute 3: Run the MAO

```
MAO = ARV x 0.70 - Repairs - Assignment Fee
```

If the seller's asking price is at or below MAO: this is a deal. Analyze deeper. If the seller's asking price is 10-15% above MAO: there's negotiation room. Follow up. If the seller's asking price is more than 20% above MAO: move on unless you see creative finance potential.

That's it. Three minutes. Ten deals in 30 minutes. You've identified 2-3 worth pursuing and moved on from the rest.

The mistake beginners make is spending hours analyzing a single deal before they've even talked to the seller. Don't do that. Screen fast, qualify deep on the ones that pass the initial filter, and only do a full analysis on deals where the seller is motivated AND the numbers are in the ballpark. Everything else is wasted time.

30

Building Your Buy Box for YOUR Market

Your buy box is the specific set of criteria that defines what you will and won't buy. It's your filter. It prevents you from chasing deals that don't fit your strategy, your capital, or your market.

Every successful investor has a buy box. This is how you build yours:

Step 1: Choose your market. One metro area. Not three. One. You need to know your market deeply. Every neighborhood, every price point, every rental rate, every comparable sale trend. You can't do that across multiple markets, especially as a beginner.

If you live in the area, start there. Local knowledge is a competitive advantage. If you're investing remotely, pick a market with these characteristics:

- Population growth (people moving in = demand for housing)
- Job growth (employment = ability to pay rent)
- Landlord-friendly laws (eviction timeline matters)
- Affordable price points (you can enter the market without six-figure capital)
- Active investor community (REIA meetings, Facebook groups, hard money lenders)

Atlanta checks every one of those boxes, which is why it's my primary market. Other strong markets include Houston, Dallas, Memphis, Jacksonville, Indianapolis, Birmingham, and Kansas City. But the best market is the one you know best.

Step 2: Define your property criteria.

- Property type: Single-family? Duplex? Triplex? Start with SFR. Simplest to analyze, easiest to sell, widest buyer pool.
- Bedrooms: Minimum 3 bedrooms for most rental markets. 2-bedroom houses rent for significantly less and are harder to fill.
- ARV range: What's the sweet spot in your market? In Atlanta, $150,000-$250,000 is the volume range for flips and BRRRRs.
- Max rehab: What can you manage? Start with light-to-medium rehabs ($15,000-$40,000). Don't tackle a $70,000 gut rehab on your first deal.

31

Step 3: Define your minimum returns.

- Wholesale: Minimum $5,000 assignment fee. Below that, the time and effort isn't worth it.
- BRRRR: Minimum $200/month cash flow after all expenses. Minimum 12% cash-on-cash return.
- Flip: Minimum $15,000 net profit. Below that, the risk-reward ratio doesn't justify the project.

Step 4: Define your deal killers. These are hard no's. Problems that make a deal unworkable regardless of price:

- Foundation issues exceeding $15,000 in repair cost
- Flood zone (insurance kills cash flow, resale is limited)
- Environmental contamination (lead, asbestos beyond normal, underground storage tanks)
- HOA with rental restrictions (if your strategy is BRRRR)
- Properties where ARV comps are unreliable (too few sales, too much variance)

Write your buy box down. Print it. Tape it to your desk. Every deal gets measured against it. Deals that fit the box get analyzed. Deals that don't get passed immediately.

Down Market Wholesale Advantages

In a down market, wholesaling gets easier in three specific ways:

1. **More motivated sellers.** When the economy tightens, more people need to sell quickly. Pre-foreclosure lists grow. Tax delinquent lists grow. Your lead pool expands.

2. **Less competition.** The weekend warriors and part-timers leave the market when headlines get scary. That means fewer people calling the same sellers, fewer competing offers, and more negotiating leverage for you.

3. **Cash buyers are still buying.** This is the part most people don't understand. Even in a down market, experienced flippers and landlords are actively buying. They're buying at lower prices with wider margins. They NEED deal finders (you) more than ever because the MLS isn't producing enough discounted inventory.

32

The wholesale fee might adjust slightly in a down market. You might average $8,000-$12,000 instead of $12,000-$18,000. But the volume of available deals more than compensates. More deals at slightly smaller fees still equals more total income.

ACTION STEPS -- Module 2

- ☐ **Choose your data platform.** PropStream ($99/mo) is the industry standard. Sign up and start learning the interface.
- ☐ **Pull your first list.** Pre-foreclosure + tax delinquent in your target market. Aim for 500 records.
- ☐ **Skip trace the list.** Use DataZapp or BatchSkipTracing. Budget $15-$25 for 500 records.
- ☐ **Set up your CRM.** GoHighLevel, REsimpli, Podio, or even a spreadsheet to start. You need a system to track your leads and follow-up touches.
- ☐ **Start the 13-touch system on your first 50 leads.** Don't wait until the list is perfect. Start calling, texting, and following up.
- ☐ Begin building your cash buyer list. Join 3 local Facebook investor groups. Attend 1 REIA meeting. Pull 50 recent cash buyers from county records.
- ☐ Download the Wholesale Deal Analyzer spreadsheet (included with this guide) and practice running 5 deals through it using properties from Zillow.
- ☐ Listen to the Module 2 audio companion. I role-play a complete cold call from introduction to verbal offer. I also walk through a live deal analysis using the MAO formula with a real Atlanta property.

In the coaching program, I review every wholesale deal before you submit your offer. I'll tell you if the numbers work, if the ARV is accurate, if the repair estimate is realistic, and whether I'd do the deal myself. That's the difference between guessing and knowing.

33

MODULE 3: THE BRRRR METHOD -- BUILDING WEALTH ON REPEAT

Why Wholesaling Alone Isn't Enough

Wholesaling puts cash in your pocket. That matters, especially in the beginning. But assignment fees are earned income. You get paid once per deal, and then you have to find the next deal to get paid again. It's linear income.

BRRRR is different. BRRRR builds assets. Each BRRRR property produces monthly cash flow for years, builds equity as the mortgage pays down, appreciates over time, and provides tax benefits. One BRRRR property might generate $300-$500 per month in cash flow. Ten properties generate $3,000-$5,000 per month. Fifty properties generate $15,000-$25,000 per month.

That's the path from active income to wealth. Wholesaling is the cash engine that fuels the wealth engine. BRRRR is the wealth engine.

Buy, Rehab, Rent, Refinance, Repeat -- Explained

Buy. Acquire a distressed property significantly below market value. Your typical target: 65-75% of ARV, minus repair costs. You'll use hard money loans, private money, or cash to purchase.

Rehab. Renovate the property to retail or near-retail condition. This isn't a flip. You're not trying to make it magazine-worthy. You're bringing it to rentable condition with durable, tenant-proof finishes.

Rent. Place a qualified tenant and start collecting monthly income. Rent should cover your eventual mortgage payment plus expenses (insurance, taxes, maintenance, management) with at least $200-$300 per month left over as cash flow.

34

Refinance. Once the property is rehabbed and rented (most lenders require 3-6 months of seasoning), you refinance into a long-term loan based on the NEW appraised value, the ARV. Because you bought below market and forced appreciation through the rehab, the appraisal comes in higher than your total investment. The refinance pays off your hard money loan and, ideally, returns most or all of your original capital.

Repeat. Take the capital you pulled out and do it again. Buy the next one. And the next one. And the next one. Each time, you've created a cash-flowing asset with little to no money left in the deal.

That's the magic of BRRRR. You're recycling capital. The same $50,000 can buy you not one property, but five, ten, twenty properties over time.

Running the BRRRR Numbers

The BRRRR analysis framework. Every potential BRRRR deal gets run through this:

35

```
PURCHASE PRICE:            $___________
REHAB COST:                $___________
CLOSING COSTS (purchase): $___________
HOLDING COSTS:             $___________ (insurance, taxes, utilities, HML intere
TOTAL ALL-IN COST:         $___________

ARV (After Repair Value): $___________
REFINANCE AMOUNT:          $___________ (typically 75% of ARV for DSCR loans)

CASH LEFT IN DEAL:         $___________ (All-in cost - Refinance amount)
                            Target: $0 or less (money back in your pocket)

MONTHLY RENT:              $___________
MONTHLY PITI (after refi): $___________
INSURANCE:                 $___________
PROPERTY MANAGEMENT (10%): $___________
MAINTENANCE RESERVES (5%): $___________
VACANCY RESERVES (5%):     $___________
TOTAL MONTHLY EXPENSES:    $___________

MONTHLY CASH FLOW:         $___________ (Rent - Expenses)
                            Target: $200-$500+/month

CASH-ON-CASH RETURN:       ___________ % (Annual cash flow / Cash left in deal)
                            Target: 15%+ (infinite if $0 left in deal)
```

Case Study: David's First BRRRR

David was a firefighter in Atlanta making $65,000 a year. He'd been reading about real estate investing for two years but hadn't pulled the trigger. He bought this guide, and something clicked: the numbers weren't theoretical. They were specific. He could see the path.

David's first BRRRR, step by step.

The Acquisition:

36

David found a 3BR/2BA single-family home in the West End neighborhood of Atlanta. The property was a probate. The owner's mother had passed, and the two adult children wanted nothing to do with the house. It needed everything: kitchen, bathrooms, flooring, paint, HVAC, and some exterior work. But the structure was solid. Good bones.

```
Purchase Price:  $140,000
Rehab Budget:    $35,000
Closing Costs:   $4,200 (3% of purchase)
Holding Costs:   $6,800 (4 months of hard money interest + insurance + taxes +
TOTAL ALL-IN:    $186,000
```

He financed the purchase with a hard money loan: 90% of purchase ($126,000) at 12% interest, 2 points. He brought $14,000 + $35,000 rehab = $49,000 of his own capital. Some from savings, some borrowed from his retirement account (which he later repaid).

The Rehab:

David managed the rehab himself (with a lot of help from this guide's Scope of Work template and Contractor Vetting Checklist). Total renovation time: 14 weeks.

- New kitchen: cabinets, countertops, appliances, backsplash -- $11,000
- Both bathrooms: vanities, tile, fixtures, shower surround -- $7,500
- Flooring: LVP throughout -- $4,800
- Paint: interior and exterior -- $4,500
- HVAC: new system -- $5,200
- Miscellaneous: electrical updates, landscaping, light fixtures, hardware -- $2,000
- Total actual rehab cost: $35,000 (on budget)

The Appraisal:

After rehab, the property appraised at $225,000. Three comparable sales supported the number: $218,000, $227,000, and $230,000. All within half a mile, all sold within the last 90 days, all similar size and condition.

37

The Rental:

David placed a tenant at $1,750/month. Market rent for a rehabbed 3/2 in West End was $1,700-$1,850. He priced at the midpoint for fast occupancy. Tenant was in within 3 weeks of listing.

The Refinance:

After 6 months of seasoning (tenant in place, rent being collected), David refinanced with a DSCR loan at 75% of appraised value.

```
Refinance Amount:  $225,000 x 0.75 = $168,750
Pays off HML:      $126,000
Closing costs:     $5,000
Net cash back:     $168,750 - $126,000 - $5,000 = $37,750

Original cash invested:  $49,000
Cash returned via refi:  $37,750
CASH LEFT IN DEAL:       $11,250
```

David left $11,250 in the deal. Not quite a "no money left" BRRRR, but close. And look at what he got:

The Numbers After Refinance:

38

```
Monthly Rent:                $1,750
New Mortgage (DSCR, 7.5%, 30yr): -$1,180 (PITI)
Property Management (10%):  -$175
Maintenance Reserves (5%):  -$88
Vacancy Reserves (5%):      -$88
TOTAL MONTHLY EXPENSES:    -$1,531

MONTHLY CASH FLOW:          $219

Annual Cash Flow:            $2,628
Cash Left in Deal:           $11,250
Cash-on-Cash Return:         23.4%

EQUITY POSITION:
Property Value:              $225,000
Loan Balance:                $168,750
Equity:                      $56,250
```

David now owns a property worth $225,000 with $56,250 in equity, producing $219/month in cash flow, with only $11,250 of his own money tied up. His cash-on-cash return is 23.4%. That's what his $11,250 is earning him annually. Compare that to a savings account at 0.45%.

And the tenant is paying down David's mortgage every month. In year one, about $4,800 of the mortgage payments go to principal reduction. That's additional wealth building beyond the cash flow.

David has since completed two more BRRRRs. His portfolio generates $680/month in total cash flow across three properties. He's on track for 10 doors by end of year.

Rehab Management: The Make-or-Break Skill

The rehab is where most BRRRR investors lose money. Not because the strategy is flawed, but because they don't manage the renovation properly.

What you need to know.

39

The Scope of Work

Before any work begins, you need a written scope of work (SOW). This is a line-by-line document that specifies exactly what work will be done, what materials will be used, and what the cost will be.

A proper SOW includes:

- Room-by-room breakdown of all work
- Material specifications (brand, model, color)
- Labor costs separated from material costs
- Timeline for each phase
- Payment schedule tied to milestones (not dates)

Never start a rehab without a signed SOW. This is your contract with your contractor. If it's not in the SOW, it doesn't get done. And if it does get done, you don't pay for it.

Contractor Management

Finding and managing contractors is a skill. The framework:

Getting bids: Always get 3 bids for the same scope of work. Not 1. Not 2. Three. This gives you a market-rate baseline. If one bid is dramatically lower than the others, be suspicious. They're either cutting corners or planning to hit you with change orders later.

Vetting contractors: Check references (call 3 past clients). Verify insurance (general liability and workers' comp). Verify their license if your state requires it. Drive by their recent projects. Ask: "What projects are you currently working on?" A contractor with zero current projects is either just starting out or just lost all their clients. Neither is great.

The draw schedule: NEVER pay a contractor the full amount upfront. Never. Use a draw schedule:

- 10% at contract signing (materials deposit)
- 25% at demolition complete

40

- 25% at rough-in complete (plumbing, electrical, HVAC)
- 25% at finishes installed (cabinets, flooring, paint, fixtures)
- 15% at final walkthrough and punch list complete

This keeps the contractor motivated to complete each phase and gives you leverage if quality slips.

Communication: Visit the job site at least twice per week. Take photos. Document everything. Communicate in writing (text is fine) so there's a record. If a contractor tells you something will cost more than the SOW, get it in writing before approving.

Rehab Budget for Rentals vs. Flips

BRRRR rehabs and flip rehabs are different.

For a BRRRR (rental), you're choosing durable, low-maintenance materials:

- LVP (luxury vinyl plank) flooring, not hardwood. Waterproof, scratch-resistant, tenant-proof.
- Shaker-style cabinets, not custom. Easy to repair or replace.
- Laminate countertops or basic granite. Looks good, low cost.
- Standard appliances. Nothing high-end, everything reliable.
- Neutral paint colors, light gray or greige. Appeals to the widest range of tenants.

For a flip (sell), you're choosing materials that look impressive to retail buyers:

- Hardwood or premium LVP
- Soft-close cabinets with modern hardware
- Granite or quartz countertops
- Stainless steel appliances
- Trendy paint colors (but not too trendy)

The BRRRR rehab is typically 20-30% cheaper than a flip rehab because you're optimizing for durability and cost, not for "wow factor."

41

Tenant Placement and Property Management Basics

Once your rehab is complete, you need a tenant. Fast.

Every day the property sits vacant, you're paying the hard money loan (typically 10-14% annual interest), insurance, taxes, and utilities out of pocket. Time is money. Vacancy is an emergency. Treat it like one.

Pricing Your Rental

Check rental comps on Zillow, Rentometer, and Craigslist for your area. Look at what similar properties (same bedrooms, bathrooms, square footage, condition, neighborhood) are renting for. Price at the midpoint of the range for fast occupancy. Pricing at the top of the range might get you $50 more per month, but if it takes an extra 3 weeks to find a tenant, you've lost $1,500+ in vacancy costs. Do the math.

Tenant Screening

Screen rigorously. A bad tenant costs 10x more than a vacant month.

Minimum requirements:

- Credit score 600+ (flexible based on market)
- Income at least 3x the monthly rent (verifiable with pay stubs or tax returns)
- No evictions in the past 5 years
- No felonies in the past 7 years
- Positive landlord references (call the previous landlord, not just the current one. The current landlord might give a glowing reference just to get rid of a bad tenant.)

Self-Manage or Hire a Property Manager?

For your first 1-5 properties, you can self-manage. It teaches you the business from the ground up. You'll learn what tenants need, what maintenance looks like, and how to handle problems.

42

Once you hit 5-10 properties, hire a property manager. Your time is better spent finding deals than fixing toilets. Typical PM fees: 8-10% of monthly rent + one month's rent for tenant placement.

Refinancing and Pulling Capital Back Out

The refinance is the "R" that makes BRRRR work. It's how you recover your capital and recycle it into the next deal.

DSCR Loans

For investment property refinances, DSCR (Debt Service Coverage Ratio) loans are the standard. These loans qualify based on the property's income, not your personal income. If the property generates enough rent to cover the mortgage payment (plus a margin), you qualify.

Typical DSCR loan terms:

- 75% LTV (Loan-to-Value) of appraised value
- Interest rates: 7-9% (varies by market conditions)
- 30-year term, fixed or ARM
- No personal income docs required
- Minimum DSCR: 1.0-1.25 (meaning the rent must be at least equal to or 25% greater than the monthly payment)
- Minimum credit score: 660+
- Seasoning requirement: 3-6 months after purchase or rehab completion

Timing Your Refinance

Most DSCR lenders require 3-6 months of "seasoning," meaning time since you purchased or completed the rehab. During this period, you should:

- Have a tenant in place and paying rent
- Have clean financial records for the property

43

- Maintain the property in appraised condition
- Document all rental income

Some lenders offer "delayed financing" with no seasoning requirement if you purchased with cash. This lets you pull your money back out immediately after rehab.

Common BRRRR Mistakes and How to Avoid Them

Mistake 1: Overestimating the ARV (Again)

I know I said this in Module 2. I'm saying it again because it's the single most common error in all of real estate investing. With BRRRR, the ARV determines your refinance amount. If you overestimate ARV by $20,000, your refinance comes in $15,000 lower than expected (75% LTV), and suddenly you have $15,000 more stuck in the deal than planned. That $15,000 was supposed to fund your next BRRRR. Now it's trapped. Dead money.

Use conservative comps. Use sold prices, not active listings. When there's a range, use the lower end. It's better to be pleasantly surprised by a high appraisal than devastated by a low one.

Mistake 2: Underestimating Rehab Time

Time is the silent killer in BRRRR. Every month your property sits in rehab, you're paying:

- Hard money interest: $800-$1,500/month on a typical loan
- Insurance: $100-$150/month
- Property taxes: $100-$300/month
- Utilities: $100-$200/month

A rehab that runs 2 months over schedule costs you $2,200-$4,300 in additional holding costs. That comes directly out of your profit.

Build a 3-4 week buffer into every timeline. If your contractor says 8 weeks, plan for 11. If things finish early, great. If they don't, you were prepared.

44

Mistake 3: Not Screening Tenants Rigorously

In the rush to stop bleeding holding costs, some investors place the first tenant who applies. This is a $5,000-$15,000 mistake. A bad tenant doesn't just cost you missed rent. They cost you eviction fees ($1,500-$3,000), property damage ($2,000-$10,000+), lost rent during vacancy and repair (2-4 months), and the emotional toll of dealing with the mess.

Take an extra 1-2 weeks to find the right tenant. The holding costs during that period are nothing compared to the cost of a bad tenant over 6-12 months.

Mistake 4: Ignoring the Seasoning Requirement

Some DSCR lenders require 6 months of seasoning from the purchase date before they'll refinance. If you don't know this going in, you might be stuck with your hard money loan for an extra 2-3 months, paying 12%+ interest. That's $3,000-$6,000 in unexpected costs.

Ask your DSCR lender about seasoning requirements BEFORE you buy the property. Some lenders have no seasoning requirement (delayed financing exception). Find them.

Mistake 5: Not Having Reserves

Every BRRRR property needs a reserve fund. Money set aside for maintenance, vacancies, and unexpected expenses. Budget $2,000-$5,000 per property in reserves. A water heater breaks ($1,200). A tenant moves out and you need to repaint and re-carpet ($2,500). The HVAC needs a capacitor ($400). These aren't "if" expenses. They're "when" expenses. Every time.

If you BRRRR a property and have zero reserves, you're one appliance failure away from paying out of pocket or going into debt. Build reserves into your plan from day one.

The BRRRR-to-Cash-Flow Calculator: A Reality Check

Let me run a realistic scenario so you understand the math at scale.

Suppose over 24 months, you complete 6 BRRRR properties with these average numbers:

45

```
Average Purchase:    $130,000
Average Rehab:       $30,000
Average All-In:      $170,000
Average ARV:         $220,000
Average Refi (75%):  $165,000
Average Cash Left:   $5,000 per deal ($30,000 total across 6)

Average Rent:        $1,650/month
Average PITI:        -$1,100/month
Average PM (10%):    -$165/month
Average Reserves:    -$165/month (maintenance + vacancy)
Average Cash Flow:   $220/month per door

6 Doors x $220/mo = $1,320/month passive income
Total Cash Invested: $30,000
Portfolio Value:     $1,320,000
Total Equity:       $330,000
Annualized Return:   52.8% on invested capital
```

$1,320 per month in passive income. $330,000 in equity. From $30,000 invested over 24 months. And that's conservative.

Now imagine doing this for 5 years. By year 5, you might have 15-20 doors producing $3,300-$4,400/month. Your tenants are paying down your mortgages (adding roughly $4,000/month in equity buildup across the portfolio). Property values are appreciating 3-5% annually. Your total net worth from real estate alone could be $800,000-$1,200,000.

That's the compounding power of BRRRR. It starts slow. It builds momentum. And at a certain point, it becomes unstoppable.

Scaling from 1 to 10 Doors

The path from 1 door to 10 doors is about systems, not heroics.

Doors 1-3: You do everything yourself. Find the deals, manage the rehabs, place the tenants, handle maintenance calls. This is your education. Pay attention. Take notes on what works and

46

what doesn't.

Doors 4-5: Hire a property manager. Your time should shift from managing properties to finding deals. The property manager handles day-to-day operations for 8-10% of rent.

Doors 6-10: Build a team. A reliable contractor (or two) who knows your standards. A real estate agent who sends you off-market leads. A lender who processes your loans efficiently. A title company that understands investor transactions.

At 10 doors generating $250-$400/month each, you're producing $2,500-$4,000/month in cash flow. That's life-changing money for most people. And it's just the beginning.

ACTION STEPS -- Module 3

- ☐ **Run BRRRR numbers on 3 properties.** Use the BRRRR Calculator spreadsheet (included with this guide). Find 3 properties on Zillow or PropStream that need work and run the full analysis: purchase, rehab, ARV, refinance amount, cash flow, cash-on-cash return.
- ☐ **Research DSCR lenders in your market.** Call 3 lenders and ask: What's your minimum DSCR? What LTV do you lend to? What's your seasoning requirement? What's your current rate?
- ☐ Research hard money lenders. You'll need one for the acquisition. Call 3 and ask: What's your rate? Points? LTV? Do you fund rehab? What's your draw schedule?
- ☐ Build a contractor pipeline. Ask 5 people for contractor referrals: your agent, other investors, your property manager, Facebook investor groups. Get at least 3 contractor contacts in your phone.
- ☐ **Create your BRRRR buy box.** Specific criteria: target neighborhoods, price range, minimum bedroom count, maximum rehab budget, minimum cash flow target.
- ☐ Listen to the Module 3 audio companion. I walk through David's BRRRR deal in full detail, including the mistakes he almost made and how we caught them during deal review. I also explain how to read a DSCR term sheet and what to watch out for.

47

In the coaching program, I review every BRRRR deal before you close on it. I verify the ARV, stress-test the rehab budget, confirm the refinance assumptions, and project your cash flow under multiple scenarios. I've seen people lose $30,000 on a BRRRR because the ARV was wrong by $15,000 and the rehab went $10,000 over budget. That doesn't happen under my watch.

48

MODULE 4: FIX & FLIP -- BIG CASH INJECTIONS

When to Flip vs. Hold

Not every property should be a BRRRR. Some should be flipped.

The decision framework:

Flip when:

- The property is in a high-value neighborhood where retail buyers pay a premium but rents don't justify the price
- The profit margin on a sale is $30,000+ and the monthly cash flow as a rental would be under $200
- You need a large cash injection for a down payment on a multifamily, to fund more marketing, or to cover personal expenses
- The property has unique features (large lot, historic character, custom upgrades) that retail buyers will pay a premium for but tenants won't

Hold (BRRRR) when:

- The property cash flows $250+/month after refinance
- The neighborhood has strong rental demand and low vacancy
- You can get most or all of your capital back through refinance
- You're building toward a cash flow target (e.g., replacing your W-2 income)

Sometimes the answer is genuinely close. When in doubt, run both analyses and compare total return over 1 year, 3 years, and 5 years. Often, the BRRRR wins on a long-term basis even if the flip looks better in the short term.

49

The Flip Math

Flipping has a simple equation:

```
PROFIT = Sale Price - Purchase Price - Rehab Cost - Holding Costs - Selling Cos

Where:
  Sale Price = ARV (what you sell it for)
  Purchase Price = what you pay the seller
  Rehab Cost = renovation budget + 10% contingency
  Holding Costs = hard money interest + insurance + taxes + utilities + HOA (fo
  Selling Costs = agent commissions (5-6%) + closing costs (1-2%) + transfer ta
```

The 70% rule gives you a quick gut check: never pay more than 70% of ARV minus rehab costs. But for a flip, I actually tighten it to 65%. You need a wider margin because you're paying selling costs that a BRRRR investor doesn't pay.

Let me walk you through a realistic Atlanta flip.

Case Study: Atlanta Flip Walkthrough

The Property: 4BR/2BA ranch in College Park, GA. 1,400 sq ft. Built in 1972. Estate sale. The family wanted to liquidate quickly. Listed on the MLS at $135,000 for 97 days with no offers. Agent was frustrated. The property needed significant cosmetic work plus a new roof and HVAC.

The Acquisition:

I (through my entity) made an offer at $105,000. The family countered at $115,000. We settled at $108,000. Closed in 14 days using a hard money loan.

```
Purchase Price:  $108,000
Hard Money Loan: $97,200 (90% LTV, 12%, 2 points)
Cash to Close:   $10,800 + $1,944 (points) + $3,240 (closing costs) = $15,984
```


50

The Rehab:

Scope of work:

- Roof replacement: $9,500
- HVAC replacement: $6,200
- Full kitchen remodel (demo to finish): $13,500
- Both bathrooms: $9,000
- LVP flooring throughout: $5,800
- Interior/exterior paint: $5,500
- Landscaping and curb appeal: $2,500
- Electrical panel upgrade: $2,800
- Plumbing repairs: $1,800
- Fixtures, hardware, light fixtures: $1,400
- Dumpster, permits, miscellaneous: $2,000

Total Rehab Budget: $60,000 Actual Rehab Cost: $63,200 (plumbing had a surprise and the kitchen tile came in $1,200 over budget)

Rehab timeline: 10 weeks (original estimate was 8 weeks. Delays happen.)

The Holding Costs:

I held the property for 5 months total (2 weeks before rehab started, 10 weeks of rehab, 6 weeks on market, 4 weeks to close with buyer).

```
Hard money interest:  $97,200 x 12% / 12 = $972/month x 5 months = $4,860
Insurance:            $125/month x 5 = $625
Taxes:               $167/month x 5 = $835
Utilities:            $150/month x 5 = $750
TOTAL HOLDING COSTS:  $7,070
```

The Sale:

51

After rehab, the property looked brand new. New roof, new HVAC, gorgeous kitchen, updated bathrooms, fresh paint, clean landscaping. It looked like a different house.

ARV comps supported $215,000-$225,000. I listed at $219,900. Received an offer at $215,000 after 6 weeks on market. Buyer was FHA with 3.5% down. Closed in 30 days.

```
Sale Price:          $215,000
Agent Commission (5%): -$10,750
Closing Costs (2%):    -$4,300
Transfer Taxes:        -$1,075
TOTAL SELLING COSTS:   -$16,125
```

The Final Numbers:

```
Sale Price:           $215,000
- Purchase Price:     $108,000
- Rehab Cost:         $63,200
- Holding Costs:      $7,070
- Selling Costs:      $16,125
= NET PROFIT:         $20,605

Cash Invested:        $15,984 (down payment + closing + points)
ROI:                  128.9%
Annualized ROI:       309.4% (5 months)
```

$20,605 profit. 5 months of work. From one deal. That's a year of car payments, a semester of tuition, or the down payment for two BRRRR properties.

Was this a home run? No. It was a solid double. Some flips produce $40,000-$60,000. Some produce $15,000. This was a clean, well-executed deal with realistic numbers. I'm showing you this example specifically because it's realistic. Not the cherry-picked "$80,000 profit" stories you see on social media.

52

Managing a Renovation Timeline

Renovation timelines blow up for three reasons: (1) scope creep, (2) contractor delays, and (3) permit issues. Managing all three:

Scope Creep

Scope creep is when the project expands beyond the original plan. "While we're at it, let's also replace the windows." "The inspector found knob-and-tube wiring that needs to come out." "The bathroom subfloor is rotted."

Some scope changes are unavoidable. You can't ignore rotted subfloor. But discretionary additions kill your margin. Before approving any change, ask: "Does this increase the ARV by more than it costs?" If a $3,000 window upgrade adds $5,000 to the ARV, do it. If a $3,000 window upgrade adds $1,000 to the ARV, skip it.

Budget a 10% contingency on every rehab. On a $50,000 rehab, that's $5,000 set aside for surprises. If you don't use it, great. That's extra profit. If you do use it, you were prepared.

Contractor Delays

Contractors will give you a timeline and then miss it. This is not a surprise. It's an expectation. Every single time. Build 2-3 weeks of buffer into every timeline.

Better yet, tie payments to milestones, not dates. The contractor gets paid when demo is complete, not on March 15th. This incentivizes them to stay on schedule because they don't get paid until the work is done.

Permit Issues

If your rehab requires permits (structural changes, electrical, plumbing, HVAC in most jurisdictions), factor in 2-4 weeks for permit approval and inspection scheduling. Start the permit process on Day 1 of the project, not after demo is done.

53

The 5 Renovation Decisions That Make or Break Your Profit Margin

1. Kitchen Budget

The kitchen sells the house. But there's a point of diminishing returns. For a $200,000-$250,000 flip in Atlanta, spend $10,000-$15,000 on the kitchen. For a $300,000+ flip, you can push to $18,000-$22,000. Going above that rarely returns more at resale unless you're in a premium market.

2. Bathroom Quality

Bathrooms are the second most important rooms. A clean, modern bathroom with new tile, vanity, and fixtures costs $4,000-$8,000 and returns that investment fully. Cheap bathroom upgrades (paint, new hardware, re-caulk) cost $500-$1,000 and can work on tighter budgets, but they won't wow a buyer.

3. Flooring Consistency

One flooring type throughout the main living areas creates a feeling of size and flow. LVP is the gold standard right now. Waterproof, durable, available in wood-look styles that photograph beautifully. Budget $3-$5 per square foot installed.

4. Curb Appeal Investment

Buyers decide if they're interested in the first 7 seconds. Standing at the curb. Fresh paint, clean landscaping, a new front door, and updated exterior lighting cost $3,000-$5,000 and dramatically improve first impressions and showing traffic.

5. What NOT to Renovate

Don't over-improve. A $200,000 ARV house doesn't need a $5,000 chef's range, custom tile work, or smart home automation. Match your finishes to your price point. Look at what the comparable sales had. Match that level, don't exceed it.

54

Finding Flip Deals: Where the Margins Are

The best flip deals come from the same sources as your wholesale and BRRRR leads: motivated sellers. The difference is what you do with them. Instead of assigning the contract (wholesale) or holding long-term (BRRRR), you're buying, renovating, and selling for maximum retail price.

Where the best flip margins hide:

Estate Sales / Probate. Properties owned by deceased individuals are often outdated (last renovated 20-30 years ago), have deferred maintenance, and are priced by heirs who want cash quickly. A probate property purchased at $100,000 that needs $45,000 in work and sells for $210,000 is a $40,000+ flip after costs. These deals come from probate lists, estate attorneys, and sometimes direct from the MLS.

Expired MLS Listings. A property that sat on the MLS for 120 days and didn't sell is a frustrated seller. The listing agent relationship is strained. The seller is open to alternatives. Approach these sellers directly (their contact info is public once the listing expires). Offer a fast, clean cash close at a price that works for your flip math.

Driving for Dollars (Flip Version). When you're driving for deals, you're looking for two tiers: properties that are distressed enough for wholesale/BRRRR (vacant, boarded, severely neglected) and properties with more moderate cosmetic distress in BETTER neighborhoods. The second tier is your flip inventory. A house in a $250,000 neighborhood that needs $35,000 in cosmetic work is a flip opportunity, not a rental.

Wholesale Deals You Keep. Sometimes you'll find a wholesale deal where the flip profit is so compelling that you should keep it instead of assigning it. If you find a property with a $45,000 flip profit potential but only a $10,000 wholesale fee, consider keeping it and doing the flip yourself (assuming you have the capital or hard money financing).

Auction Properties. County foreclosure auctions can produce deeply discounted properties. The downside: you often can't inspect the property before bidding, you need cash (or certified funds) to close quickly, and you buy "as-is" with no recourse. Auctions are for experienced investors with capital reserves. Don't start here, but keep it in mind for year 2+.

55

The Flip Timeline: A Realistic Breakdown

A typical flip from start to finish, with realistic timelines:

```
PHASE                    DURATION        NOTES
Acquisition              1-3 weeks       Finding, negotiating, closing
Pre-Rehab Planning       1 week          Final SOW, permits, materials ordering
Demolition               3-5 days        Gut interior, remove old materials
Rough-In                 2-3 weeks       Plumbing, electrical, HVAC rough
Framing/Structural       1-2 weeks       If needed (opening walls, additions)
Insulation/Drywall       1-2 weeks       Hang, tape, mud, sand
Finishes - Kitchen       1-2 weeks       Cabinets, counters, backsplash, applia
Finishes - Bathrooms     1-2 weeks       Tile, vanities, fixtures (overlaps kit
Flooring                 3-5 days        LVP or hardwood install
Paint                    3-5 days        Interior and exterior
Fixtures/Hardware        2-3 days        Light fixtures, door hardware, outlet
Landscaping/Exterior     3-5 days        Curb appeal, driveway, porch
Final Cleaning           1-2 days        Deep clean, staging if applicable
Photography/Listing      3-5 days        Pro photos, MLS listing
On Market                4-8 weeks       Showings, open houses, offers
Under Contract to Close  4-6 weeks       Buyer inspection, appraisal, loan proc

TOTAL: 5-7 months from acquisition to cash in hand
```

This is the realistic timeline most flippers experience. Social media shows a "before and after" in 30 seconds. The reality is 5-7 months of capital deployed, risk carried, and problems solved. Factor this into your financial planning. You're not getting paid until the end.

Selling Strategies

MLS Listing

Listing on the MLS with an agent gives you the widest buyer pool. For retail flips (selling to homeowners), this is usually the best option. Budget 5-6% for agent commissions (2.5-3% for the listing agent, 2.5-3% for the buyer's agent).

56

Off-Market / Investor-to-Investor

If the numbers don't support a retail flip but work for another investor (a BRRRR buyer, for example), sell directly to an investor from your network. No agent commissions. Close in 14 days. Lower sale price, but lower costs and faster turnaround.

Timing the Sale

List the property immediately after rehab completion. Every day you hold it, you're paying hard money interest, insurance, and taxes. Time kills profit on flips. If the market is slow, price aggressively to generate showings and offers. A fast sale at $210,000 beats waiting 4 months for $220,000 when holding costs eat the difference.

Common Flip Mistakes and How to Avoid Them

Mistake 1: Overestimating ARV

This is the #1 deal killer. If you estimate ARV at $225,000 but it's really $205,000, your entire profit margin just evaporated. Use conservative comps. Use SOLD prices, not active listings. Adjust for differences. When in doubt, use the lower number.

Mistake 2: Underestimating Rehab Costs

The second most common mistake. Get 3 contractor bids. Budget a 10% contingency. Walk the property with a contractor before making your offer, not after.

Mistake 3: Ignoring Holding Costs

A rehab that takes 4 months instead of 2 months doesn't just cost more in labor and materials. It costs 2 extra months of hard money interest ($2,000-$3,000/month), insurance, taxes, and utilities. Always factor holding costs into your analysis.

57

Mistake 4: Emotional Attachment

You're not decorating your own house. You're building a product for a buyer. Choose finishes based on what sells in your market, not what you personally like. Look at what the top-selling properties in your price range have and replicate that.

Mistake 5: No Exit Strategy

Before you buy a flip, know what happens if it doesn't sell. Can you rent it? Can you BRRRR it? Can you sell it to an investor at a discount? Always have a Plan B. The worst outcome is being stuck with a property you can't sell and can't rent, paying hard money interest every month.

ACTION STEPS -- Module 4

- ☐ **Run flip numbers on 2 properties.** Use the Fix & Flip Profit Calculator (included with this guide). Find 2 distressed properties in your market and run the full analysis: purchase, rehab, holding costs, selling costs, and net profit.
- ☐ **Drive your target neighborhoods.** Walk into 2-3 recently flipped properties that are listed for sale (open houses are perfect for this). Study the finishes, the layout, the staging. Take photos. This is your competition. Study it.
- ☐ Research hard money lenders. If you haven't already (Module 3), call 3 lenders and get their terms for fix & flip loans. Most will fund 85-90% of purchase and 100% of rehab.
- ☐ Build a contractor shortlist. You need at least 2 reliable general contractors and 1 handyman for small jobs. Start collecting referrals now.
- ☐ **Create your flip buy box.** Target neighborhoods, price range (ARV), maximum rehab budget, minimum profit target.
- ☐ Listen to the Module 4 audio companion. I walk through a real flip from acquisition to sale, every decision point, every dollar spent, every mistake I caught before it cost money. I also break down the 5 renovation decisions with photo examples from recent projects.

In the coaching program, I review your flip pro forma before you submit your offer, your scope of work before you start the rehab, and your listing strategy before you go to market.

58

Every phase gets a second set of eyes from someone who's managed hundreds of renovations. That's how you avoid the $15,000 mistakes that kill first-time flippers.

59

MODULE 5: CREATIVE FINANCE -- DEALS WITH NO BANK

Why This Module Changes Everything

Modules 2, 3, and 4 covered the three core strategies. This module covers the skill that multiplies all three.

Creative financing is the ability to structure deals when traditional bank financing won't work, or when it would work but there's a better way. It's the difference between doing 3-4 deals a year (limited by what banks will approve) and doing 3-4 deals a month (limited only by your deal flow and negotiation skill).

I'm going to give you an overview of each creative strategy in this module. I'm going to be direct with you: this is the area where a guide on paper can only take you so far. Creative finance deals are complex. They involve legal documents, lender relationships, seller negotiations, and risk management that require hands-on guidance. I'll give you enough to understand how each strategy works, when to use it, and what the numbers look like. But executing these at scale? That's coaching-level work. I'll be upfront about that throughout this module.

Subject-To: Taking Over Existing Mortgages

What It Is

In a subject-to deal, you purchase the property "subject to" the existing mortgage remaining in place. The seller transfers the deed to you. You own the property. But the mortgage stays in the seller's name, and you make the payments.

60

Why would a seller agree to this? Because they're stuck. They're facing foreclosure, they've been relocated and can't sell because they owe more than the house is worth, or they're going through a divorce and need someone to take over the payments immediately.

Why It's Powerful

Subject-to lets you acquire properties with little or no money down. You're not getting a new loan. You're not qualifying with a bank. You're taking over an existing loan, often at a rate much lower than what's available today.

Think about this: in 2020-2021, millions of homeowners locked in 30-year mortgages at 2.5-3.5%. Those mortgages still exist. If you can take over one of those loans and rent the property at today's market rates, the spread between the low mortgage payment and the high rent is massive.

```
Example:
Existing Loan:    $180,000 @ 3.5% (locked in 2021)
Monthly PITI:     $1,100
Property FMV:     $230,000
Market Rent:      $1,800

Cash to Seller:   $3,000 (back payments + moving money)
Monthly Cash Flow: $1,800 - $1,100 - $175 (PM) - $90 (reserves) = $435/month
Cash-on-Cash Return: ($435 x 12) / $3,000 = 174%
Instant Equity:   $230,000 - $180,000 = $50,000
```

You just acquired a property worth $230,000 with $50,000 in equity for $3,000 out of pocket. And it cash flows $435/month. On day one.

The Due-on-Sale Clause

Every subject-to discussion includes this topic. The due-on-sale clause is a provision in most mortgages that gives the lender the right to call the loan due if ownership transfers without their consent.

61

Can the lender call the loan due? Technically, yes. Do they? Almost never, as long as payments are being made on time. Lenders make money from interest payments. Calling a loan due triggers a foreclosure process that costs them money and resources. It doesn't make business sense.

That said, the risk exists. Mitigation strategies: keep payments current (always), maintain insurance (a lapse alerts the lender), and use land trusts for privacy.

This is an area where I strongly recommend working with an attorney who specializes in creative real estate. This guide introduces the concept and the math. The execution requires legal guidance specific to your state and deal. *This is exactly what we dive deep on in the coaching program: structuring sub-to deals safely with proper documentation and risk management.*

Seller Financing: The Seller Becomes the Bank

What It Is

Instead of getting a loan from a bank, the seller lends you the money. You negotiate the price, interest rate, term, and down payment directly with the seller. The seller collects monthly payments from you, often at a rate better than their savings account or CD.

When It Works

Seller financing works when the seller owns the property free and clear (no mortgage). They don't need a lump sum. They'd rather collect monthly income. Common profiles: retired homeowners, long-term landlords cashing out, estate executors with no urgency.

62

```
Example:
Property Value:    $200,000
Seller Price:      $190,000 (small discount for creative terms)
Down Payment:      $10,000 (negotiated)
Seller Note:       $180,000 @ 5% for 20 years
Monthly Payment:   $1,188 (P&I)
Market Rent:       $1,700

Cash Flow:         $1,700 - $1,188 - $170 (PM) - $85 (reserves) = $257/month
Cash-on-Cash:      ($257 x 12) / $10,000 = 30.8%
```

The seller gets 5% on their money, better than most fixed-income investments. You get a cash-flowing rental with $10,000 down and no bank qualification. The deal structure serves everyone.

The Exact Language

When approaching a seller about financing, the framing matters:

"What if instead of me getting a bank loan, you became the bank? You'd collect monthly payments with interest, better than any savings account or CD. And if I stopped paying, you'd get the house back. Would that work for your situation?"

This frames seller financing as beneficial to the seller, not as a favor they're doing for you.

Lease Options: Control Without Ownership

A lease option gives you the right (but not the obligation) to purchase a property at a predetermined price within a specified timeframe. In the meantime, you lease the property and can sublease it to a tenant.

You collect rent from the tenant, pay the lease payment to the owner, and pocket the spread. When you exercise the option, you purchase at the agreed price, ideally below market value by that point.

63

Lease options work well when you can't get financing now but expect to in the future, when the seller needs monthly income but is willing to sell eventually, or when you want to control a property without the responsibilities of full ownership.

Wraparound Mortgages: Advanced Strategy

A wrap is when you buy a property subject-to the existing mortgage, then sell it to a new buyer with seller financing at a higher interest rate. You collect the buyer's payment, make the underlying mortgage payment, and keep the spread.

```
Example:
Existing Mortgage:  $150,000 @ 3.5% = $975/month
Your Wrap Note:     $195,000 @ 7.5% to your buyer
Buyer's Payment:    $1,363/month

Monthly Spread:     $1,363 - $975 = $388/month
Plus: Principal paydown difference between the two loans
```

Wraps are powerful but complex. They involve two loans, two sets of legal documentation, and state-specific regulations. I'm mentioning them here so you know they exist and understand the concept. *Structuring wraps safely is advanced work. This is something we handle together in the coaching program with proper legal guidance.*

64

Which Funding Fits Which Strategy

STRATEGY	BEST FUNDING SOURCE	WHY
Wholesale	None needed (earnest money only: $500-$2,000)	You don't buy the property
BRRRR (Acquisition)	Hard money loan	Fast funding, no income docs, 80-90% LTV
BRRRR (Refinance)	DSCR loan	Long-term, based on property income
Flip	Hard money loan	Fast, short-term, rehab funds included
Subject-To	Existing mortgage (no new loan)	You take over seller's payments
Seller Finance	Seller carries the note	You negotiate terms directly
Lease Option	Option deposit only	Control with minimal capital

Using OPM: The Leverage Principle

OPM, Other People's Money, is the principle that separates professional investors from hobbyists.

When you wholesale, you're using the buyer's money to close the deal and pay you.

When you BRRRR, you're using a hard money lender's money to acquire, then a DSCR lender's money for long-term financing. Your capital gets recycled.

When you go subject-to, you're using the seller's existing loan. Their bank's money.

When you use seller financing, you're using the seller's equity as your loan.

At no point are you limited by how much cash you personally have. You're limited by how many deals you can find and how well you can structure them. That's the leverage principle. Your skill

65

is the asset. The money follows the skill.

Private Money: Finding Private Lenders

Private money is the most flexible funding source. A private lender is anyone with capital who wants a return better than what the stock market or a bank is offering. Friends, family, colleagues, retirees, professionals, small business owners.

You offer them a secured loan (secured by real estate) at 8-12% interest, with monthly or quarterly payments, for a defined term (6-12 months typically). Their money is protected by the property. Your track record and deal quality give them confidence.

Finding private lenders:

- Tell everyone you know what you do. "I invest in real estate and I pay 10% returns to people who lend me capital, secured by the property."
- REIA meetings and networking events
- Professional networks (doctors, lawyers, engineers, high earners looking for passive returns)
- Past deal success stories (nothing attracts capital like proof of performance)

Start with one private lender and one deal. Perform flawlessly. Return their money on time with the promised interest. They'll lend you more next time. And they'll tell their friends.

ACTION STEPS -- Module 5

- ☐ **Identify 3 properties that could work as subject-to deals.** Look for properties with existing mortgages where the owner is behind on payments, in pre-foreclosure, or needs to relocate quickly. Note the estimated loan balance, interest rate, and property value.
- ☐ Practice the seller financing pitch. Write it out in your own words. Role-play with a friend. The framing has to feel natural, not scripted.
- ☐ Research your state's laws on subject-to and seller financing. Every state is different. Know your regulations before you structure a deal. Consult a local real estate attorney.

66

- ☐ **Make a list of 10 potential private lenders.** People in your network with capital: business owners, professionals, retirees, family members. You're not asking for money today. You're identifying who you'd approach when you have a deal that needs funding.
- ☐ Listen to the Module 5 audio companion. I walk through a real subject-to deal structure, explain the due-on-sale clause in plain language, and discuss how I approach seller financing conversations. This is one of the longest audio modules because creative finance requires nuance that doesn't translate perfectly in text.

Creative financing is where the coaching program delivers the most value. Every sub-to deal, every seller finance structure, every wrap. I review it personally. I check the loan documents, verify the numbers, flag the risks, and tell you exactly how I'd structure it. This is not a strategy you want to learn by trial and error with real money on the line.

67

MODULE 6: YOUR FIRST 90 DAYS -- THE EXECUTION ROADMAP

The Plan

Reading is over. Execution starts now.

This module gives you a day-by-day, week-by-week plan for your first 90 days. It's the same roadmap I give every person I work with. It works because it's sequential. Each step builds on the previous one. And it's specific. No vague advice. No "go network." Specific actions with specific deadlines.

Print this out. Put it on your wall. Check off each task as you complete it. The 90-Day Execution Tracker (included with this guide) is a printable version with checkboxes and space for notes.

Week 1-2: Foundation

Week 1 (Days 1-7)

Day 1: Set Your Buy Box

Write down your market criteria. Be specific:

- City/County: _____
- Property type: SFR / Multifamily / Both
- ARV range: $_____ to $_____
- Max purchase price: $_____
- Max rehab budget: $_____
- Minimum cash flow (BRRRR): $_____/month

68

- Minimum assignment fee (wholesale): $_____
- Minimum flip profit: $_____

Post this where you'll see it every day. Every deal you analyze gets measured against this box.

Day 2: Set Up Your CRM

You need a system to track leads, follow-ups, and deals. Options:

- GoHighLevel ($97/month) -- full CRM + email + automation
- REsimpli ($99/month) -- built for investors, includes skip tracing
- Podio (free to start) -- customizable, popular with wholesalers
- Google Sheets (free) if you're starting with zero budget

At minimum, your CRM needs: lead name, property address, phone number, email, lead source, lead status (new, contacted, qualified, offer made, under contract, closed, dead, nurture), notes, and next follow-up date.

Day 3: Sign Up for Data

- PropStream ($99/month) for property data, lists, comps, skip tracing
- DataZapp (pay per use, $75 minimum) for skip tracing backup
- Create accounts and learn the interface. Pull a test list of 50 pre-foreclosure properties.

Day 4: Pull Your First List

Using PropStream, pull your first motivated seller list:

- Filter: Pre-foreclosure OR tax delinquent (1+ years)
- Filter: Your target county
- Filter: SFR
- Filter: Equity 30%+ (room for wholesale margin)
- Target: 500 records

Export as CSV.

69

Day 5: Skip Trace Your List

Upload your 500-record list to your skip tracing service. Get phone numbers and emails appended. Download the enriched list. Import into your CRM.

You now have 300-375 property owners with phone numbers, ready to contact.

Day 6: Study the Scripts

Review the 13-touch scripts in Module 2. Read them out loud. Three times. Record yourself. Listen to the recording. Does it sound natural? Conversational? If it sounds like you're reading a script, practice until it doesn't.

The scripts are a guide, not a straitjacket. Internalize the framework and then make it your own.

Day 7: Rest and Review

Take a breath. Review everything you've set up. Is your CRM organized? Is your list imported? Do you know your buy box? Do you feel comfortable with the cold call script?

Tomorrow you start contacting sellers. Get a good night's sleep.

Week 2 (Days 8-14)

Days 8-12: First 25 Contacts (5 per day)

Start with 5 calls per day. Not 50. Five.

The reason: your first calls will be rough. You'll stumble over words. You'll freeze when someone answers. You'll forget what to say. That's normal. Five calls per day gives you enough practice to improve without burning through your entire list on bad calls.

For each call:

1. Dial the number
2. If they answer: follow the qualifying script (condition, timeline, motivation, price)
3. If no answer: send a text immediately (Touch 2)
4. Log everything in your CRM

70

By the end of the week, you've contacted 25 sellers. You've had conversations with 3-5 of them (at a 12-20% connect rate). You've sent 20+ texts. You've started building momentum.

Days 13-14: Research Your Market

Spend 2 hours on PropStream or Zillow studying your target neighborhoods:

- What are updated 3/2 SFRs selling for? (This is your ARV baseline)
- What are they renting for? (This determines BRRRR viability)
- How long are properties sitting on market? (This tells you about demand)
- What areas have the most distressed properties? (This is where your deals are)

Create a simple market reference sheet. Tape it next to your buy box. Now when a seller tells you their property is on Main Street, you instantly know the neighborhood, the approximate ARV, and the approximate rent.

Week 3-6: First 50 Contacts and Deal Analysis

Daily Routine (Weeks 3-6):

- Morning (30 minutes): Review CRM. Which leads need follow-up today? What touch are they on in the 13-touch sequence?
- Midday (15 minutes): Send scheduled texts and emails
- Evening (1-2 hours): Make 10-15 calls. Log results. Send follow-up texts. Update CRM.
- Weekend (2-3 hours): Pull new lists. Skip trace. Add to CRM. Analyze deals that came in during the week.

By the end of Week 6, you should have:

- Contacted 50+ unique sellers
- Had qualifying conversations with 8-15 of them
- Identified 3-5 leads worth deeper analysis
- Analyzed at least 20 deals using the MAO formula
- Started your 13-touch sequence on all leads (some will be on Touch 6-8 by now)

71

- Built a cash buyer list of at least 15-20 investors

Cash Buyer List Building (Ongoing):

- Week 3: Join 3 local Facebook investor groups. Post an introduction: "I'm a new wholesaler in [City]. Looking to connect with cash buyers. What's your buy box?"
- Week 4: Attend 1 REIA meeting. Collect at least 5 business cards from active buyers.
- Week 5: Pull 50 recent cash transactions from PropStream. Skip trace the buyers. Call them: "I noticed you recently purchased [address] for cash. I find deals in that area. Want me to send you opportunities?"
- Week 6: Follow up with all buyer contacts. Organize your list by buy box criteria.

Week 7-10: First Offer Submitted

If you've been executing the 13-touch system consistently, by Week 7 you should have at least 1-3 motivated sellers in active conversations. They've told you about their property. You know the condition, timeline, motivation, and desired price.

Now it's time to make an offer.

Step 1: Run the Numbers

Use the Deal Analysis Framework from Module 2 (wholesale), Module 3 (BRRRR), or Module 4 (flip). Ideally all three.

```
Property: [Address]
ARV: $__________
Repairs: $__________
Wholesale MAO: $__________
BRRRR All-In Target: $__________
Flip Purchase Target: $__________
Best Strategy: __________
```

Step 2: Prepare the Offer

72

Write up a simple Purchase and Sale Agreement. Include:

- Property address
- Purchase price
- "And/or assigns" clause (for wholesale flexibility)
- Inspection period: 14 days
- Earnest money: $500-$1,000
- Closing date: 21-30 days
- Contingencies: inspection, clear title

You can find PSA templates online or use the one included with this guide. Have a local real estate attorney review your template before you use it the first time.

Step 3: Present the Offer

Call the seller. Use soft language. Be direct but empathetic.

"Based on the condition of the property, the repairs needed, and what similar properties are selling for, I can offer you $[price]. I can close in [timeline], pay cash, and take the property as-is. You wouldn't need to make any repairs or pay any commissions. How does that sound?"

Then stop talking. Let the silence work.

If they accept: congratulations, you have a deal. Move to contract. If they counter: negotiate. Is there a number between your offer and theirs that works? If they reject: ask what number would work for them. If the gap is too wide, move on. "I understand. If anything changes, please call me."

Step 4: Submit More Offers

One offer isn't enough. You need to be submitting offers regularly. The math:

- 10 offers = 1-2 accepted (10-15% acceptance rate)
- 1-2 accepted = 1 closed deal (80%+ close rate)

73

If you're submitting 1 offer per week from Week 7 to Week 10, that's 4 offers. You should get at least 1 deal under contract.

Week 11-12: First Deal Under Contract

When a seller accepts your offer, this is the execution sequence:

For a Wholesale:

1. Execute the PSA (both parties approve)
2. Open escrow at an investor-friendly title company
3. Submit the contract to your title company
4. Begin disposition: send the deal to your cash buyer list
5. Assign the contract to a buyer
6. Collect non-refundable deposit from buyer ($2,000-$5,000)
7. Coordinate closing with title company
8. Collect your assignment fee at closing

For a BRRRR:

1. Execute the PSA
2. Finalize hard money funding
3. Open escrow and close on the property
4. Begin rehab (SOW + contractor + draw schedule)
5. Complete rehab
6. Place tenant
7. Refinance with DSCR lender
8. Collect cash flow monthly

For a Flip:

1. Execute the PSA

74

2. Finalize hard money funding
3. Close on the property
4. Begin rehab
5. Complete rehab
6. List for sale
7. Close with retail buyer
8. Collect profit

The $10K/Month Milestone Plan

After your first deal, the question becomes: how do I scale to consistent income?

The math for $10,000/month:

Path 1: Wholesale Only

- 1 deal per month at $10,000 average assignment fee = $10,000/month
- Requires: 30-50 leads/month, 10+ offers/month, 1-2 contracts/month

Path 2: BRRRR + Wholesale

- 1 wholesale per month ($8,000) + 2 BRRRR properties producing $500/month each ($1,000/month) + growing
- After 12 months with 6 BRRRRs: $3,000/month passive + wholesale income

Path 3: Wholesale + Flip

- 1 wholesale per month ($8,000) + 1 flip per quarter ($20,000 / 3 = $6,667/month equivalent)
- Blended: $14,667/month equivalent

The fastest path to $10K/month is wholesaling. The most sustainable path is BRRRR + wholesaling. The highest peak income comes from adding flips.

75

Your deal machine should run all three strategies simultaneously. Find deals through one pipeline, analyze through all three lenses, execute the best strategy for each deal.

Your Weekly Deal Flow Routine

The weekly rhythm that produces consistent results:

Monday: Lead Generation

- Pull new lists or refresh existing ones
- Skip trace new records
- Import into CRM
- Plan the week's outreach

Tuesday - Thursday: Outreach and Follow-Up

- Make 15-30 calls per day
- Send texts and emails per the 13-touch schedule
- Follow up on warm leads
- Walk properties if appointments are set

Friday: Deal Analysis and Offers

- Analyze all leads that came in during the week
- Run MAO/BRRRR/flip numbers on promising properties
- Submit offers
- Follow up on outstanding offers

Saturday: Cash Buyer Development and Education

- Network with other investors
- Attend REIA meetings or investor meetups
- Follow up with cash buyers
- Study the market (drive neighborhoods, review comps, read local news)

76

Sunday: Rest and Plan

- Review the week's metrics: calls made, leads generated, offers submitted
- Plan next week
- Update your CRM
- Rest your mind. You need it sharp.

Lead Generation Systems

As you grow beyond 50 leads per month, you need systems. Not just effort.

Cold Calling at Scale: Hire a virtual assistant ($5-$8/hour offshore) to make initial calls using your script. They qualify leads on the first touch and transfer hot leads directly to you. This lets you make 200-500 dials per day without sitting on the phone yourself.

Text Automation: Use your CRM to automate the text touches in the 13-touch sequence. When a lead enters your system, the CRM sends texts on the scheduled days automatically.

Direct Mail Campaigns: Set up monthly mail drops to your hottest list types. Use a service like Ballpoint Marketing for handwritten-style letters. Consistency is the key. Same list, every month, for 6 months minimum.

CRM Automation: Set up triggers in your CRM:

- New lead imported = auto-assign Touch 1 task
- No answer = auto-schedule Touch 2 (text) same day
- 13 touches complete = move to nurture stage
- Lead says "stop" = immediately flag as DNC

Building Your Team

No one builds a deal machine alone. Here are the 6 people you need:

77

1. **Real Estate Agent (investor-friendly).** Not a regular agent. One who understands investment deals, knows how to pull comps for investors, and won't flinch at below-market offers. Some agents will also send you pocket listings and off-market leads.

2. Contractor. Your general contractor (or 2-3 reliable subs) for rehab work. Interview, vet, and start with a small project before trusting them with a $50,000 renovation.

3. Hard Money Lender. Pre-approved and ready to fund. When you find a deal, you need to close in 14-21 days. That's only possible if your lender is already lined up.

4. **Title Company (investor-friendly).** A title company that understands assignments, double closes, subject-to transfers, and investor transactions. Not all title companies handle these. Ask before you need them.

5. Property Manager. For your rental portfolio. Interview several, check references, understand their fee structure. A good PM is worth their 8-10% fee. A bad PM will cost you far more.

6. Real Estate Attorney. For contract review, creative deal structuring, and legal compliance. Especially important for subject-to, seller financing, and wrap deals.

Scaling from Solo to Team

Level 1: Solo (Months 1-6) You do everything. That's how you learn the business. Lead generation, calls, analysis, offers, contract management, contractor management, tenant placement.

Level 2: Solo + VA (Months 6-12) Hire a virtual assistant for cold calling, data entry, and skip tracing. Cost: $800-$1,500/month. Your time shifts from making calls to analyzing deals and meeting sellers.

Level 3: Small Team (Year 2+) Add an acquisitions manager (someone who handles seller conversations and gets contracts signed). Add a disposition manager (someone who finds buyers for your wholesale deals). Add a transaction coordinator (someone who manages paperwork and closing).

At Level 3, you're running a business, not working a business. You find the deals, make the strategic decisions, and let your team handle execution.

78

The Down Market Playbook Integrated

Everything in this guide is designed for the current market. Not for 2021. Not for some hypothetical future market. Right now.

How the down market advantages compound:

More motivated sellers = more deals to find = more opportunity for all three strategies.

Less competition = lower acquisition prices = wider margins on every deal.

Higher rates = more sellers stuck with properties they can't sell traditionally = more creative finance opportunities. Sub-to deals with low-rate mortgages are gold right now.

Longer days on market = more negotiating leverage = better terms for you.

Cash buyers still buying = your wholesale pipeline stays active because experienced investors are aggressively acquiring.

Rents still strong = BRRRR cash flow stays solid even with higher refi rates because rent growth has outpaced interest rate increases in most markets.

The investors who execute in this environment, the next 12-24 months, will look back on this period the same way 2008-2012 investors look back on their window. As the moment that built their wealth.

The historical precedent is clear. After the 2008 crash, investors who bought aggressively between 2009 and 2012 accumulated properties at 40-60 cents on the dollar. By 2018, those properties had doubled or tripled in value. By 2024, many had quadrupled. The cash flow alone had paid back their entire investment multiple times over.

We're not in 2008 territory. This is a different cycle, more moderate, less extreme. But the principle is identical: **buy when others are afraid, and hold while others wish they had.**

That's the down market playbook. That's the philosophy behind every strategy in this guide. And that's the competitive advantage you now carry with you into every deal.

79

ACTION STEPS -- Module 6

- ☐ **Print the 90-Day Execution Tracker** (included with this guide) and pin it to your wall.
- ☐ **Block time on your calendar.** Minimum 1-2 hours per evening (Monday-Thursday) and 3-4 hours on Saturday. Non-negotiable. This is your business. Treat it like one.
- ☐ **Execute Week 1 tasks.** Set your buy box. Set up your CRM. Sign up for PropStream. Pull your first list. Skip trace it. Study the scripts.
- ☐ Set a deadline for your first offer. Write the date on your tracker. Week 7-8 is realistic if you're executing daily.
- ☐ Schedule your first REIA meeting. Google "[your city] real estate investor association" and register for the next meeting. Show up. Shake hands. Collect cards.
- ☐ Listen to the Module 6 audio companion. This is the final audio module. I walk through the full 90-day timeline, discuss the most common execution mistakes I see, and share what separates the people who close their first deal from the ones who never do. I also deliver a personal message about what comes next.

80

FINAL WORD: THE SYSTEM, THE SKILL, AND THE NEXT STEP

You've now read the complete playbook.

You understand how active investors think. You know the three core strategies: wholesaling, BRRRR, and fix & flip. You understand creative financing. You have the 13-touch follow-up system. You have the formulas. You have the scripts. You have the 90-day plan.

You have everything you need to close your first deal.

But I'm going to be straight with you. That's how I operate, and you deserve honesty more than hype.

The hardest part of real estate investing is not knowing what to do. It's knowing what to do right now, in your specific situation, with your specific deal.

It's staring at a property analysis at 11 PM wondering if the ARV is right. It's being on the phone with a seller who just countered your offer and you have 5 seconds to decide what to say. It's getting a contractor bid that's $8,000 higher than expected and needing to know whether to negotiate, find someone else, or walk away entirely.

Those are the moments that make or break investors. And those are the moments where a guide, no matter how good, can't help you. Because a guide can't see your deal. A guide can't review your numbers. A guide can't tell you whether to pull the trigger or walk away.

A mentor can.

That's what I built the coaching program for. Not to teach you more theory. You have enough theory. The coaching program exists so that when you're standing in front of a real decision with real money on the line, you have someone who's done $250 million in real estate, someone who's been in that exact situation hundreds of times, in your ear saying "go" or "stop."

81

What the coaching program includes:

- **Personal deal review.** Every deal you're considering, I look at it. I verify the ARV. I stress-test the rehab budget. I check the rental comps. I tell you exactly what I'd do.
- **Live calls.** Weekly group calls where we break down active deals, troubleshoot problems, and workshop strategies in real time.
- **Direct access.** When you're on the phone with a seller and need guidance, you can reach me. Not a call center. Not an assistant. Me.
- Accountability. The 90-day plan works when someone is holding you to it. I track your metrics, review your activity, and push you when you're slipping.
- Creative deal structuring. Subject-to, seller finance, wraps. These require hands-on guidance. I structure every creative deal with you personally.

The coaching program is not for everyone. It's for people who have read this guide, believe in the strategies, and are ready to execute with support. It's for people who understand that the investment in coaching pays for itself on the first deal. One avoided mistake or one optimized deal structure is worth more than the entire coaching fee.

If that's you, keep an eye on your inbox. I'll be sending you details on how to apply.

If you're not ready for coaching yet, that's completely fine. You have a $147 guide that can generate $5,000-$15,000+ on your first deal if you execute it. Do the work. Close a deal. And when you're ready for the next level, the door is open.

Either way, I respect you for investing in yourself. For refusing to accept the lie that the only way to build wealth is to save pennies in a savings account and hope for the best. For being willing to learn a skill that can change your financial trajectory permanently.

The rules changed. The old playbook is dead. But the new playbook, the one you're holding right now, works in any market. Bull or bear. High rates or low rates. Boom or bust.

Go build your deal machine.

I'll be watching for your first deal.

-- J. Marque

82

83

APPENDIX A: TEMPLATES & WORKSHEETS REFERENCE

The following templates and worksheets are included with your purchase of The Deal Machine:

1. **Wholesale Deal Analyzer Spreadsheet** -- Input purchase price, ARV, repairs, and assignment fee. Auto-calculates MAO and buyer profit.
2. **BRRRR Calculator Spreadsheet** -- Full BRRRR analysis: acquisition, rehab, rent, refinance amount, cash left in deal, cash flow, cash-on-cash return.
3. **Fix & Flip Profit Calculator** -- Purchase, rehab, holding costs, selling costs, net profit, ROI, annualized ROI.
4. **13-Touch Seller Follow-Up Script Pack** -- All 13 scripts (call, text, RVM, email, direct mail) ready to customize with your name and company.
5. **Motivated Seller Questionnaire** -- The 4 Pillars (condition, timeline, motivation, price) with exact questions and follow-up prompts.
6. **Purchase Agreement Template (Assignable)** -- Standard PSA with "and/or assigns" clause, inspection period, and earnest money provisions.
7. **Assignment of Contract Template** -- For assigning your purchase agreement to a cash buyer.
8. **Scope of Work Template** -- Room-by-room rehab planning document with material specs, labor, and timeline columns.
9. **Contractor Vetting Checklist** -- 15-point checklist for evaluating contractors (insurance, references, current projects, communication style, etc.).
10. **90-Day Execution Tracker** -- Printable day-by-day tracker with checkboxes, metrics, and milestones.
11. **Deal Pipeline Tracker** -- CRM-style tracker for managing multiple deals simultaneously (lead → offer → contract → close).

84

12. **Seller Lead Scoring Sheet** -- Point-based system for prioritizing leads by motivation level, equity, timeline, and property condition.

85

APPENDIX B: GLOSSARY

ARV (After Repair Value): The estimated market value of a property after all repairs and renovations are completed.

Assignment Fee: The profit a wholesaler earns by assigning their purchase contract to a cash buyer. Typically $5,000-$25,000.

BRRRR: Buy, Rehab, Rent, Refinance, Repeat. A strategy for acquiring rental properties with recycled capital.

Buy Box: Your specific criteria for properties you'll consider purchasing -- market area, price range, property type, condition, minimum returns.

Cash-on-Cash Return: Annual cash flow divided by total cash invested. Expressed as a percentage.

Comp (Comparable Sale): A recently sold property similar to the subject property, used to estimate value.

DSCR (Debt Service Coverage Ratio): The ratio of a property's net operating income to its debt payments. Used by lenders to qualify investment property loans based on property income, not borrower income.

Double Close: A wholesale strategy where the wholesaler actually purchases the property (A-B close) and immediately resells to a buyer (B-C close) using transactional funding.

Due-on-Sale Clause: A mortgage provision allowing the lender to demand full repayment if ownership transfers without consent. Rarely enforced when payments are current.

Earnest Money: A deposit (typically $500-$2,000) that demonstrates the buyer's serious intent to purchase. Held by the title company.

86

Equity: The difference between a property's market value and the outstanding mortgage balance.

Hard Money Loan: A short-term loan from a private lender or company, secured by the property. Typically 10-14% interest, 1-3 points, 6-12 month terms. Used for acquisitions and rehabs.

LTV (Loan-to-Value): The loan amount as a percentage of the property's value. An 80% LTV loan on a $200,000 property = $160,000 loan.

MAO (Maximum Allowable Offer): The highest price you can pay for a property and still meet your profit targets. Calculated as ARV x 0.70 - repairs - your fee.

OPM (Other People's Money): Using borrowed capital or structured terms to acquire assets. The leverage principle.

PSA (Purchase and Sale Agreement): The contract between buyer and seller that defines the terms of a real estate transaction.

Private Money: Capital borrowed from individuals (not institutions) for real estate investments. Typically secured by the property with negotiated terms.

Scope of Work (SOW): A detailed document specifying all renovation work to be performed, materials to be used, costs, and timeline.

Seller Financing: When the property seller acts as the lender, allowing the buyer to make payments directly to the seller instead of a bank.

Skip Tracing: The process of finding contact information (phone numbers, emails, addresses) for property owners using data services.

Subject-To: Purchasing a property "subject to" the existing mortgage remaining in place. The buyer takes ownership via deed transfer while the seller's loan continues.

Transactional Funding: Short-term (1-3 day) loans used for double closings in wholesale transactions.

Wraparound Mortgage (Wrap): A seller-financed loan that "wraps around" an existing mortgage. The buyer makes payments to the seller, who continues making payments on the un-

87

derlying mortgage.

88

APPENDIX C: RECOMMENDED RESOURCES

Data & List Pulling:

- PropStream (propstream.com) -- property data, lists, comps, skip tracing
- BatchLeads (batchleads.io) -- lists, skip tracing, direct mail integration

Skip Tracing:

- DataZapp (datazapp.com) -- bulk skip tracing at $0.03-$0.10/record
- BatchSkipTracing (batchskiptracing.com) -- investor-focused skip tracing

CRM:

- GoHighLevel (gohighlevel.com) -- full marketing + CRM platform
- REsimpli (resimpli.com) -- built specifically for RE investors
- Podio (podio.com) -- customizable, free to start

Direct Mail:

- Ballpoint Marketing (ballpointmarketing.com) -- handwritten-style letters
- REIPrintMail (reiprintmail.com) -- postcards and letters for investors

Lending:

- Research local hard money lenders in your market
- DSCR lenders: Kiavi, Visio, LIMA One, Lima Capital, New Silver

Education:

- Money Decoded Trilogy by J. Marque -- free Book 1 at link in your purchase confirmation email

89

Copyright 2026 J. Marque. All rights reserved. No part of this publication may be reproduced, distributed, or transmitted in any form without the prior written permission of the author.

This guide is for educational purposes. Real estate investing involves risk. Past performance is not indicative of future results. Always consult with qualified legal, tax, and financial professionals before making investment decisions. The author and publisher are not responsible for any losses incurred as a result of applying the strategies described in this guide.

90